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The Central Goods and Services Tax Act, 2017

(Brief Notes)

The Central Goods and Services Tax Act, 2017

(ACT NO. 12 OF 2017)

An Act to make a provision for levy and collection of tax on intra-State supply of goods or services or both by the Central Government and for matters connected therewith or incidental thereto.

BE it enacted by Parliament in the Sixty-eighth Year of the Republic of India as follows:—

CHAPTER I — PRELIMINARY

Section 1. Short title, extent and commencement.

(1) This Act may be called the Central Goods and Services Tax Act, 2017.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint:

Provided that different dates may be appointed for different provisions of this Act and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

Section 2. Definitions.

In this Act, unless the context otherwise requires,—

(1) "actionable claim" shall have the same meaning as assigned to it in section 3 of the Transfer of Property Act, 1882 (4 of 1882);

(2) "address of delivery" means the address of the recipient of goods or services or both indicated on the tax invoice issued by a registered person for delivery of such goods or services or both;

(3) "address on record" means the address of the recipient as available in the records of the supplier;

(4) "adjudicating authority" means any authority, appointed or authorised to pass any order or decision under this Act, but does not include the Central Board of Indirect Taxes and Customs, the Revisional Authority, the Authority for Advance Ruling, the Appellate Authority for Advance Ruling, the National Appellate Authority for Advance Ruling, the

Appellate Authority, the Appellate Tribunal and the Authority referred to in sub-section (2) of section 171;

(5) "agent" means a person, including a factor, broker, commission agent, arhatia, del credere agent, an auctioneer or any other mercantile agent, by whatever name called, who carries on the business of supply or receipt of goods or services or both on behalf of another;

(6) "aggregate turnover" means the aggregate value of all taxable supplies (excluding the value of inward supplies on which tax is payable by a person on reverse charge basis), exempt supplies, exports of goods or services or both and inter-State supplies of persons having the same Permanent Account Number, to be computed on all India basis but excludes central tax, State tax, Union territory tax, integrated tax and cess;

(7) "agriculturist" means an individual or HUF who undertakes cultivation of land — by own labour, by family labour, or by servants on wages/hired labour under personal supervision or supervision of family member;

(8) "Appellate Authority" means an authority appointed or authorised to hear appeals as referred to in section 107;

(9) "Appellate Tribunal" means the Goods and Services Tax Appellate Tribunal constituted under section 109;

(10) "appointed day" means the date on which the provisions of this Act shall come into force;

(11) "assessment" means determination of tax liability under this Act and includes self-assessment, re-assessment, provisional assessment, summary assessment and best judgment assessment;

(12) "associated enterprises" shall have the same meaning as assigned to it in section 92A of the Income-tax Act, 1961 (43 of 1961);

(13) "audit" means the examination of records, returns and other documents maintained or furnished by the registered person under this Act or the rules made thereunder or under any other law for the time being in force to verify the correctness of turnover declared, taxes paid, refund claimed and input tax credit availed, and to assess his compliance with the provisions of this Act or the rules made thereunder;

(14) "authorised bank" shall mean a bank or a branch of a bank authorised by the Government to collect the tax or any other amount payable under this Act;

(15) "authorised representative" means the representative as referred to in section 116;

(16) "Board" means the Central Board of Indirect Taxes and Customs constituted under the Central Boards of Revenue Act, 1963 (54 of 1963);

(17) "business" includes — (a) any trade, commerce, manufacture, profession, vocation, adventure, wager or similar activity; (b) activity incidental/ancillary thereto; (c) activity regardless of volume/frequency/regularity; (d) supply/acquisition of goods/services for commencement/closure of business; (e) provision by club/association/society of facilities to members for consideration; (f) admission for consideration to any premises; (g) services as holder of office in course of trade/profession; (h) race club activities including totalisator/bookmaker; (i) any activity by Central/State Government or local authority as public authorities;

(18) ***[Omitted by Act 31 of 2018, s. 2 (w.e.f. 1st February, 2019).]***

(19) "capital goods" means goods, the value of which is capitalised in the books of account of the person claiming the input tax credit and which are used or intended to be used in the course or furtherance of business;

(20) "casual taxable person" means a person who occasionally undertakes transactions involving supply of goods or services or both in the course or furtherance of business, whether as principal, agent or in any other capacity, in a State or a Union territory where he has no fixed place of business;

(21) "central tax" means the central goods and services tax levied under section 9;

(22) "cess" shall have the same meaning as assigned to it in the Goods and Services Tax (Compensation to States) Act;

(23) "chartered accountant" means a chartered accountant as defined in clause (b) of sub-section (1) of section 2 of the Chartered Accountants Act, 1949 (38 of 1949);

(24) "Commissioner" means the Commissioner of central tax and includes the Principal Commissioner of central tax appointed under section 3 and the Commissioner of integrated tax appointed under the Integrated Goods and Services Tax Act;

(25) "Commissioner in the Board" means the Commissioner referred to in section 168;

(26) "common portal" means the common goods and services tax electronic portal referred to in section 146;

(27) "common working days" in respect of a State or Union territory shall mean such days in succession which are not declared as gazetted holidays by the Central Government or the concerned State or Union territory Government;

(28) "company secretary" means a company secretary as defined in clause (c) of sub-section (1) of section 2 of the Company Secretaries Act, 1980 (56 of 1980);

(29) "competent authority" means such authority as may be notified by the Government;

(30) "composite supply" means a supply made by a taxable person to a recipient consisting of two or more taxable supplies of goods or services or both, or any combination thereof, which are naturally bundled and supplied in conjunction with each other in the ordinary course of business, one of which is a principal supply;

Illustration.— Where goods are packed and transported with insurance, the supply of goods, packing materials, transport and insurance is a composite supply and supply of goods is a principal supply;

(31) "consideration" in relation to supply includes — (a) any payment in money or otherwise, in respect of, in response to, or for inducement of, supply, whether by recipient or any other person (excluding Central/State Government subsidy); (b) monetary value of any act or forbearance for inducement of supply (excluding Government subsidy); Proviso: Deposit not consideration unless applied as consideration by supplier;

(32) "continuous supply of goods" means a supply of goods which is provided, or agreed to be provided, continuously or on recurrent basis, under a contract, whether or not by means of a wire, cable, pipeline or other conduit, and for which the supplier invoices the recipient on a regular or periodic basis and includes supply of such goods as the Government may, subject to such conditions, as it may, by notification, specify;

(33) "continuous supply of services" means a supply of services which is provided, or agreed to be provided, continuously or on recurrent basis, under a contract, for a period exceeding **three months** with periodic payment obligations and includes supply of such services as the Government may, subject to such conditions, as it may, by notification, specify;

(34) "conveyance" includes a vessel, an aircraft and a vehicle;

(35) "cost accountant" means a cost accountant as defined in clause (b) of sub-section (1) of section 2 of the Cost and Works Accountants Act, 1959 (23 of 1959);

(36) "Council" means the Goods and Services Tax Council established under article 279A of the Constitution;

(37) "credit note" means a document issued by a registered person under sub-section (1) of section 34;

(38) "debit note" means a document issued by a registered person under sub-section (3) of section 34;

(39) "deemed exports" means such supplies of goods as may be notified under section 147;

(40) "designated authority" means such authority as may be notified by the Board;

(41) "document" includes written or printed record of any sort and electronic record as defined in clause (t) of section 2 of the Information Technology Act, 2000 (21 of 2000);

(42) "drawback" in relation to any goods manufactured in India and exported, means the rebate of duty, tax or cess chargeable on any imported inputs or on any domestic inputs or input services used in the manufacture of such goods;

(43) "electronic cash ledger" means the electronic cash ledger referred to in sub-section (1) of section 49;

(44) "electronic commerce" means the supply of goods or services or both, including digital products, over digital or electronic network;

(45) "electronic commerce operator" means any person who owns, operates or manages digital or electronic facility or platform for electronic commerce;

(46) "electronic credit ledger" means the electronic credit ledger referred to in sub-section (2) of section 49;

(47) "exempt supply" means supply of any goods or services or both which attracts nil rate of tax or which may be wholly exempt from tax under section 11, or under section 6 of IGST Act, and includes non-taxable supply;

(48) "existing law" means any law, notification, order, rule or regulation relating to levy and collection of duty or tax on goods or services or both passed or made before the commencement of this Act by Parliament or any Authority or person having the power to make such law, notification, order, rule or regulation;

(49) "family" means— (i) the spouse and children of the person, and

(ii) the parents, grand-parents, brothers and sisters of the person if they are wholly or mainly dependent on the said person;

(50) "fixed establishment" means a place (other than the registered place of business) which is characterised by a sufficient degree of permanence and suitable structure in terms of human and technical resources to supply services, or to receive and use services for its own needs;

(51) "Fund" means the Consumer Welfare Fund established under section 57;

(52) "goods" means every kind of movable property other than money and securities but includes actionable claim, growing crops, grass and things attached to or forming part of the land which are agreed to be severed before supply or under a contract of supply;

(53) "Government" means the Central Government;

(54) "Goods and Services Tax (Compensation to States) Act" means the Goods and Services Tax (Compensation to States) Act, 2017 (15 of 2017);

(55) "goods and services tax practitioner" means any person who has been approved under section 48 to act as such practitioner;

(56) "India" means the territory of India as referred to in article 1 of the Constitution, its territorial waters, seabed and sub-soil underlying such waters, continental shelf, exclusive economic zone or any other maritime zone as referred to in the Territorial Waters, Continental Shelf, Exclusive Economic Zone and other Maritime Zones Act, 1976 (80 of 1976), and the air space above its territory and territorial waters;

(57) "Integrated Goods and Services Tax Act" means the Integrated Goods and Services Tax Act, 2017 (13 of 2017);

(58) "integrated tax" means the integrated goods and services tax levied under the Integrated Goods and Services Tax Act;

(59) "input" means any goods other than capital goods used or intended to be used by a supplier in the course or furtherance of business;

(60) "input service" means any service used or intended to be used by a supplier in the course or furtherance of business;

(61) "Input Service Distributor" means an office of the supplier of goods or services or both which receives tax invoices towards the receipt of input services, including invoices in respect of services liable to tax under sub-section (3) or sub-section (4) of section 9 of this Act or under sub-section (3) or sub-section (4) of section 5 of the Integrated Goods and Services Tax Act, 2017 (13 of 2017), for or on behalf of distinct persons referred to in section 25, and liable to distribute the input tax credit in respect of such invoices in the manner provided in section 20;

(62) "input tax" in relation to a registered person, means the central tax, State tax, integrated tax or Union territory tax charged on any supply of goods or services or both made to him and includes— (a) the integrated goods and services tax charged on import of goods; (b) the tax payable under the provisions of sub-sections (3) and (4) of section 9; (c) the tax payable under the provisions of sub-sections (3) and (4) of section 5 of the Integrated Goods and Services Tax Act; (d) the tax payable under the provisions of sub-sections (3) and (4) of section 9 of the respective State Goods and Services Tax Act; or (e) the tax payable under the provisions of sub-sections (3) and (4) of section 7 of the Union Territory Goods and Services Tax Act,

but does not include the tax paid under the composition levy;

(63) "input tax credit" means the credit of input tax;

(64) "intra-State supply of goods" shall have the same meaning as assigned to it in section 8 of the Integrated Goods and Services Tax Act;

(65) "intra-State supply of services" shall have the same meaning as assigned to it in section 8 of the Integrated Goods and Services Tax Act;

(66) "invoice" or "tax invoice" means the tax invoice referred to in section 31;

(67) "inward supply" in relation to a person, shall mean receipt of goods or services or both whether by purchase, acquisition or any other means with or without consideration;

(68) "job work" means any treatment or process undertaken by a person on goods belonging to another registered person and the expression "job worker" shall be construed accordingly;

(69) "local authority" means — (a) Panchayat as defined in Article 243(d) of the Constitution; (b) Municipality as defined in Article 243P(e); (c) Cantonment Board under Cantonments Act, 2006; (d) Regional Council / District Council under Sixth Schedule; (e) Development Board constituted under Article 371 (Assam, Manipur, Mizoram) or Article 371J (Karnataka);

(70) "location of the recipient of services" means— (a) where a supply is received at a place of business for which the registration has been obtained, the location of such place of business; (b) where a supply is received at a place other than the place of business for which registration has been obtained (a fixed establishment elsewhere), the location of such fixed establishment; (c) where a supply is received at more than one establishment, whether the place of business or fixed establishment, the location of the establishment most directly concerned with the receipt of the supply; and (d) in absence of such places, the location of the usual place of residence of the recipient;

(71) "location of the supplier of services" means— (a) where a supply is made from a place of business for which the registration has been obtained, the location of such place of business; (b) where a supply is made from a place other than the place of business for which registration has been obtained (a fixed establishment elsewhere), the location of such fixed establishment; (c) where a supply is made from more than one establishment, whether the place of business or fixed establishment, the location of the establishment most directly concerned with the provisions of the supply; and (d) in absence of such places, the location of the usual place of residence of the supplier;

(72) "manufacture" means processing of raw material or inputs in any manner that results in emergence of a new product having a distinct name, character and use and the term "manufacturer" shall be construed accordingly;

(73) "market value" shall mean the full amount which a recipient of a supply is required to pay in order to obtain the goods or services or both of like kind and quality at or about the same time and at the same commercial level where the recipient and the supplier are not related;

(74) "mixed supply" means two or more individual supplies of goods or services, or any combination thereof, made in conjunction with each other by a taxable person for a single price where such supply does not constitute a composite supply.

Illustration.— A supply of a package consisting of canned foods, sweets, chocolates, cakes, dry fruits, aerated drinks and fruit juices when supplied for a single price is a mixed supply. Each of these items can be supplied separately and is not dependent on any other. It shall not be a mixed supply if these items are supplied separately;

(75) "money" means Indian legal tender or any foreign currency, cheque, promissory note, bill of exchange, letter of credit, draft, pay order, traveller's cheque, money order, postal/electronic remittance or any similar instrument, but shall not include Indian currency or foreign currency used as consideration to procure supply of goods/services;

(76) "motor vehicle" shall have the same meaning as assigned to it in clause (28) of section 2 of the Motor Vehicles Act, 1988 (59 of 1988);

(77) "non-resident taxable person" means any person who occasionally undertakes transactions involving supply of goods or services or both, whether as principal or agent or in any other capacity, but who has no fixed place of business or residence in India;

(78) "non-taxable supply" means a supply of goods or services or both which is not leviable to tax under this Act or under the Integrated Goods and Services Tax Act;

(79) "non-taxable territory" means the territory which is outside the taxable territory;

(80) "notification" means a notification published in the Official Gazette and the expressions "notify" and "notified" shall be construed accordingly;

(80A) "online gaming" means offering of a game on the internet or an electronic network and includes online money gaming;

(80B) "online money gaming" means online gaming in which players pay or deposit money or money's worth, including virtual digital assets, in the expectation of winning money or money's worth, including virtual digital assets, in any event including game, scheme, competition or any other activity or process, whether or not its outcome or performance is based on skill, chance or both and whether the same is permissible or otherwise under any other law for the time being in force;

(81) "other territory" includes territories other than those comprising in a State and those referred to in sub-clauses (a) to (e) of clause (114);

(82) "output tax" in relation to a taxable person, means the tax chargeable under this Act on taxable supply of goods or services or both made by him or by his agent but excludes tax payable by him on reverse charge basis;

(83) "outward supply" in relation to a taxable person, means supply of goods or services or both, whether by sale, transfer, barter, exchange, licence, rental, lease or disposal or any other mode, made or agreed to be made by such person in the course or furtherance of business;

(84) "person" includes— (a) an individual; (b) a Hindu Undivided Family; (c) a company; (d) a firm; (e) a Limited Liability Partnership; (f) an association of persons or a body of individuals, whether incorporated or not, in India or outside India; (g) any corporation established by or under any Central Act, State Act or Provincial Act or a Government company as defined in clause (45) of section 2 of the Companies Act, 2013 (18 of 2013); (h) any body corporate incorporated by or under the laws of a country outside India; (i) a co-operative society registered under any law relating to co-operative societies; (j) a local authority;

(k) Central Government or a State Government;

(l) society as defined under the Societies Registration Act, 1860 (21 of 1860);

(m) trust; and

(n) every artificial juridical person, not falling within any of the above;

(85) "place of business" includes— (a) a place from where the business is ordinarily carried on, and includes a warehouse, a godown or any other place where a taxable person stores his goods, supplies or receives goods or services or both; or (b) a place where a taxable person maintains his books of account; or (c) a place where a taxable person is engaged in business through an agent, by whatever name called;

(86) "place of supply" means the place of supply as referred to in Chapter V of the Integrated Goods and Services Tax Act;

(87) "prescribed" means prescribed by rules made under this Act on the recommendations of the Council;

(88) "principal" means a person on whose behalf an agent carries on the business of supply or receipt of goods or services or both;

(89) "principal place of business" means the place of business specified as the principal place of business in the certificate of registration;

(90) "principal supply" means the supply of goods or services which constitutes the predominant element of a composite supply and to which any other supply forming part of that composite supply is ancillary;

(91) "proper officer" in relation to any function to be performed under this Act, means the Commissioner or the officer of the central tax who is assigned that function by the Commissioner in the Board;

(92) "quarter" shall mean a period comprising **three consecutive calendar months**, ending on the last day of **March, June, September and December** of a calendar year;

(93) "recipient" of supply means — (a) where consideration payable: the person liable to pay consideration; (b) where no consideration: the person to whom goods/services are delivered/rendered/made available. Does not include agent acting on behalf of recipient;

(94) "registered person" means a person who is registered under section 25 but does not include a person having a Unique Identity Number;

(95) "regulations" means the regulations made by the Board under this Act on the recommendations of the Council;

(96) "removal" in relation to goods, means— (a) despatch of the goods for delivery by the supplier thereof or by any other person acting on behalf of such supplier; or (b) collection of the goods by the recipient thereof or by any other person acting on behalf of such recipient;

(97) "return" means any return prescribed or otherwise required to be furnished by or under this Act or the rules made thereunder;

(98) "reverse charge" means the liability to pay tax by the recipient of supply of goods or services or both instead of the supplier of such goods or services or both under sub-section (3) or sub-section (4) of section 9, or under sub-section (3) or sub-section (4) of section 5 of the Integrated Goods and Services Tax Act;

(99) "Revisional Authority" means an authority appointed or authorised for revision of decision or orders as referred to in section 108;

(100) "Schedule" means a Schedule appended to this Act;

(101) "securities" shall have the same meaning as assigned to it in clause (h) of section 2 of the Securities Contracts (Regulation) Act, 1956 (42 of 1956);

(102) "services" means anything other than goods, money and securities but includes activities relating to the use of money or its conversion by cash or by any other mode, from one form, currency or denomination, to another form, currency or denomination for which a separate consideration is charged;

Explanation.— For the removal of doubts, it is hereby clarified that the expression "services" includes facilitating or arranging transactions in securities;

(102A) "specified actionable claim" means the actionable claim involved in or by way of—
(i) betting;

(ii) casinos;

(iii) gambling;

(iv) horse racing;

(v) lottery; or

(vi) online money gaming;

(103) "State" includes a Union territory with Legislature;

(104) "State tax" means the tax levied under any State Goods and Services Tax Act;

(105) "supplier" in relation to goods/services means the person supplying said goods/services; includes an agent acting as such on behalf of supplier;

(106) "tax period" means the period for which the return is required to be furnished;

(107) "taxable person" means a person who is registered or liable to be registered under section 22 or section 24;

(108) "taxable supply" means a supply of goods or services or both which is leviable to tax under this Act;

(109) "taxable territory" means the territory to which the provisions of this Act apply;

(110) "telecommunication service" means service of any description (including electronic mail, voice mail, data services, audio text services, video text services, radio paging and cellular mobile telephone services) which is made available to users by means of any transmission or reception of signs, signals, writing, images and sounds or intelligence of any nature, by wire, radio, visual or other electromagnetic means;

(111) "the State Goods and Services Tax Act" means the respective State Goods and Services Tax Act, 2017;

(112) "turnover in State" or "turnover in Union territory" means the aggregate value of all taxable supplies (excluding the value of inward supplies on which tax is payable by a person on reverse charge basis) and exempt supplies made within a State or Union territory by a taxable person, exports of goods or services or both and inter-State supplies of goods or services or both made from the State or Union territory by the said taxable person but excludes central tax, State tax, Union territory tax, integrated tax and cess;

(113) "usual place of residence" means— (a) in case of an individual, the place where he ordinarily resides; (b) in other cases, the place where the person is incorporated or otherwise legally constituted;

(114) "Union territory" means the territory of— (a) the Andaman and Nicobar Islands; (b) Lakshadweep; (c) Dadra and Nagar Haveli and Daman and Diu; (d) Ladakh; (e) Chandigarh;

(ea) Ladakh; and (f) other territory.

Explanation.— For the purposes of this Act, each of the territories specified in sub-clauses (a) to (f) shall be considered to be a separate Union territory;

(115) "Union territory tax" means the Union territory goods and services tax levied under the Union Territory Goods and Services Tax Act;

(116) "Union Territory Goods and Services Tax Act" means the Union Territory Goods and Services Tax Act, 2017 (14 of 2017);

(117) "valid return" means a return furnished under sub-section (1) of section 39 on which self-assessed tax has been paid in full;

(117A) "virtual digital asset" shall have the same meaning as assigned to it in clause (47A) of Section 2 of the Income Tax Act, 1961 (43 of 1961);

(118) "voucher" means an instrument where there is an obligation to accept it as consideration or part consideration for a supply of goods or services or both and where the goods or services or both to be supplied or the identities of their potential suppliers are either indicated on the instrument itself or in related documentation, including the terms and conditions of use of such instrument;

(119) "works contract" means a contract for building, construction, fabrication, completion, erection, installation, fitting out, improvement, modification, repair, maintenance, renovation, alteration or commissioning of any immovable property wherein transfer of property in goods (whether as goods or in some other form) is involved in the execution of such contract;

(120) words and expressions used and not defined in this Act but defined in the Integrated Goods and Services Tax Act, the Union Territory Goods and Services Tax Act and the Goods and Services Tax (Compensation to States) Act shall have the same meaning as assigned to them in those Acts;

(121) ***[Omitted by the Jammu and Kashmir Reorganisation (Adaptation of Central Laws) Order, 2020, vide Notification No. S.O. 1123(E), dated 18th March, 2020 and vide Union Territory of Ladakh Reorganisation (Adaptation of Central Laws) Order, 2020, Notification No. S.O. 3774(E), dated 23rd October, 2020.]***

CHAPTER II — ADMINISTRATION

Section 3. Officers under this Act.

The Government shall, by notification, appoint the following classes of officers for the purposes of this Act, namely:—

(a) Principal Chief Commissioners of Central Tax or Principal Directors General of Central Tax,

(b) Chief Commissioners of Central Tax or Directors General of Central Tax,

(c) Principal Commissioners of Central Tax or Principal Additional Directors General of Central Tax,

(d) Commissioners of Central Tax or Additional Directors General of Central Tax,

(e) Additional Commissioners of Central Tax or Additional Directors of Central Tax,

(f) Joint Commissioners of Central Tax or Joint Directors of Central Tax,

(g) Deputy Commissioners of Central Tax or Deputy Directors of Central Tax,

(h) Assistant Commissioners of Central Tax or Assistant Directors of Central Tax, and

(i) any other class of officers as it may deem fit:

Provided that the officers appointed under the Central Excise Act, 1944 (1 of 1944) shall be deemed to be the officers appointed under the provisions of this Act.

Section 4. Appointment of officers.

(1) The Board may, in addition to the officers as may be notified by the Government under section 3, appoint such persons as it may think fit to be the officers under this Act.

(2) Without prejudice to the provisions of sub-section (1), the Board may, by order, authorise any officer referred to in clauses (a) to (h) of section 3 to appoint officers of central tax below the rank of Assistant Commissioner of central tax for the administration of this Act.

Section 5. Powers of officers.

(1) Subject to such conditions and limitations as the Board may impose, an officer of central tax may exercise the powers and discharge the duties conferred or imposed on him under this Act.

(2) An officer of central tax may exercise the powers and discharge the duties conferred or imposed under this Act on any other officer of central tax who is subordinate to him.

(3) The Commissioner may, subject to such conditions and limitations as may be specified in this behalf by him, delegate his powers to any other officer who is subordinate to him.

(4) Notwithstanding anything contained in this section, an Appellate Authority shall not exercise the powers and discharge the duties conferred or imposed on any other officer of central tax.

Section 6. Authorisation of officers of State tax or Union territory tax as proper officer in certain circumstances.

(1) Without prejudice to the provisions of this Act, the officers appointed under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act are authorised to be the proper officers for the purposes of this Act, subject to such conditions as the Government shall, on the recommendations of the Council, by notification, specify.

(2) Subject to the conditions specified in the notification issued under sub-section (1),—

(a) where any proper officer issues an order under this Act, he shall also issue an order under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act, as authorised by the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act, as the case may be, under intimation to the jurisdictional officer of State tax or Union territory tax;

(b) where a proper officer under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act has initiated any proceedings on a subject matter, no proceedings shall be initiated by the proper officer under this Act on the same subject matter.

(3) Any proceedings for rectification, appeal and revision, wherever applicable, of any order passed by an officer appointed under this Act shall not lie before an officer appointed under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act.

CHAPTER III — LEVY AND COLLECTION OF TAX

Section 7. Scope of supply.

(1) For the purposes of this Act, the expression "supply" includes—

(a) all forms of supply of goods or services or both such as sale, transfer, barter, exchange, licence, rental, lease or disposal made or agreed to be made for a consideration by a person in the course or furtherance of business;

(aa) the activities or transactions, by a person, other than an individual, to its members or constituents or vice-versa, for cash, deferred payment or other valuable consideration.

Explanation.— For the purposes of this clause, it is hereby clarified that, notwithstanding anything contained in any other law for the time being in force or any judgment, decree or order of any Court, tribunal or authority, the person and its members or constituents shall be deemed to be two separate persons and the supply of activities or transactions inter se shall be deemed to take place from one such person to another;

(b) import of services for a consideration whether or not in the course or furtherance of business; and

(c) the activities specified in Schedule I, made or agreed to be made without a consideration;

(1A) Where certain activities or transactions constitute a supply in accordance with the provisions of sub-section (1), they shall be treated either as supply of goods or supply of services as referred to in Schedule II.

(2) Notwithstanding anything contained in sub-section (1),—

(a) activities or transactions specified in Schedule III; or

(b) such activities or transactions undertaken by the Central Government, a State Government or any local authority in which they are engaged as public authorities, as may be notified by the Government on the recommendations of the Council,

shall be treated neither as a supply of goods nor a supply of services.

(3) Subject to the provisions of sub-sections (1), (1A) and (2), the Government may, on the recommendations of the Council, specify, by notification, the transactions that are to be treated as—

(a) a supply of goods and not as a supply of services; or

(b) a supply of services and not as a supply of goods.

Section 8. Tax liability on composite and mixed supplies.

The tax liability on a composite or a mixed supply shall be determined in the following manner, namely:—

(a) a composite supply comprising two or more supplies, one of which is a principal supply, shall be treated as a supply of such principal supply; and

(b) a mixed supply comprising two or more supplies shall be treated as a supply of that particular supply which attracts the highest rate of tax.

Section 9. Levy and collection.

(1) Subject to the provisions of sub-section (2), there shall be levied a tax called the central goods and services tax on all intra-State supplies of goods or services or both, except on the supply of alcoholic liquor for human consumption and un-denatured extra neutral alcohol or rectified spirit used for manufacture of alcoholic liquor, for human consumption, on the value determined under section 15 and at such rates, not exceeding **twenty per cent.**, as may be notified by the Government on the recommendations of the

Council and collected in such manner as may be prescribed and shall be paid by the taxable person.

(2) The central tax on the supply of petroleum crude, high speed diesel, motor spirit (commonly known as petrol), natural gas and aviation turbine fuel shall be levied with effect from such date as may be notified by the Government on the recommendations of the Council.

(3) The Government may, on the recommendations of the Council, by notification, specify categories of supply of goods or services or both, the tax on which shall be paid on reverse charge basis by the recipient of such goods or services or both and all the provisions of this Act shall apply to such recipient as if he is the person liable for paying the tax in relation to the supply of such goods or services or both.

(4) The Government may, on the recommendations of the Council, by notification, specify a class of registered persons who shall, in respect of supply of specified categories of goods or services or both received from an unregistered supplier, pay the tax on reverse charge basis as the recipient of such supply of goods or services or both, and all the provisions of this Act shall apply to such recipient as if he is the person liable for paying the tax in relation to such supply of goods or services or both.

(5) The Government may, on the recommendations of the Council, by notification, specify categories of services the tax on intra-State supplies of which shall be paid by the electronic commerce operator if such services are supplied through it, and all the provisions of this Act shall apply to such electronic commerce operator as if he is the supplier liable for paying the tax in relation to the supply of such services:

Provided that where an electronic commerce operator does not have a physical presence in the taxable territory, any person representing such electronic commerce operator for any purpose in the taxable territory shall be liable to pay tax:

Provided further that where an electronic commerce operator does not have a physical presence in the taxable territory and also he does not have a representative in the said territory, such electronic commerce operator shall appoint a person in the taxable territory for the purpose of paying tax and such person shall be liable to pay tax.

Section 10. Composition levy.

(1) Registered person whose aggregate turnover in preceding FY did not exceed **one crore fifty lakh rupees** may opt to pay, in lieu of tax payable, an amount of tax calculated at prescribed rate (not exceeding following ceiling): (a) Manufacturers (other than specified goods): **one per cent** of turnover in State/UT; (b) Restaurant services (excluding alcohol for human consumption): **two and a half per cent** of turnover in State/UT; (c) Other suppliers: **half per cent** of turnover in State/UT.

Special categories States threshold: **seventy-five lakh rupees** (Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Uttarakhand).

(1A) Registered person not eligible under sub-section (1) whose aggregate turnover in preceding FY did not exceed **fifty lakh rupees** may opt to pay central tax at **three per cent** of turnover (for suppliers of services or mixed suppliers).

(2) Composition not permitted for: (a) inter-State outward supplies; (b) supply through e-commerce operator required to collect TCS under section 52; (c) manufacturer of notified goods (ice cream, pan masala, aerated waters, tobacco); (d) non-resident taxable person or casual taxable person.

(3) Option exercised shall be valid for entire financial year.

(4) Composition taxpayer shall not collect any tax, shall not be entitled to any ITC, and shall pay tax under sub-section (1).

(5) Lapse of composition: If aggregate turnover exceeds the threshold during a FY, the person is no longer eligible and must pay tax under section 9 from the day threshold exceeded.

Section 11. Power to grant exemption from tax.

(1) Where the Government is satisfied that it is necessary in the public interest so to do, it may, on the recommendations of the Council, by notification, exempt generally, either absolutely or subject to such conditions as may be specified therein, goods or services or both of any specified description from the whole or any part of the tax leviable thereon with effect from such date as may be specified in such notification.

(2) Where the Government is satisfied that it is necessary in the public interest so to do, it may, on the recommendations of the Council, by special order in each case, under circumstances of an exceptional nature to be stated in such order, exempt from payment of tax any goods or services or both on which tax is leviable.

(3) The Government may, if it considers necessary or expedient so to do for the purpose of clarifying the scope or applicability of any notification issued under sub-section (1) or order issued under sub-section (2), insert an explanation in such notification or order, as the case may be, by notification at any time within **one year** of issue of the notification under sub-section (1) or order under sub-section (2), and every such explanation shall have effect as if it had always been the part of the first such notification or order, as the case may be.

Explanation.— For the purposes of this section, where an exemption in respect of any goods or services or both from the whole or part of the tax leviable thereon has been granted absolutely, the registered person supplying such goods or services or both shall not collect the tax, in excess of the effective rate, on such supply of goods or services or both.

Section 11A. Power not to recover Goods and Services Tax not levied or short-levied as a result of general practice.

Notwithstanding anything contained in this Act, if the Government is satisfied that—

(a) a practice was, or is, generally prevalent regarding levy of central tax (including non-levy thereof) on any supply of goods or services or both; and

(b) such supplies were, or are, liable to,—

(i) central tax, in cases where according to the said practice, central tax was not, or is not being, levied, or

(ii) a higher amount of central tax than what was, or is being, levied, in accordance with the said practice,

the Government may, on the recommendation of the Council, by notification in the Official Gazette, direct that the whole of the central tax payable on such supplies, or, as the case may be, the central tax in excess of that payable on such supplies, but for the said practice, shall not be required to be paid in respect of the supplies on which the central tax was not, or is not being levied, or was, or is being, short-levied, in accordance with the said practice.

CHAPTER IV — TIME AND VALUE OF SUPPLY

Section 12. Time of supply of goods.

(1) The liability to pay tax on goods shall arise at the time of supply, as determined in accordance with the provisions of this section.

(2) The time of supply of goods shall be the earlier of the following dates, namely:—

(a) the date of issue of invoice by the supplier or the last date on which he is required, under section 31, to issue the invoice with respect to the supply; or

(b) the date on which the supplier receives the payment with respect to the supply:

Provided that where the supplier of taxable goods receives an amount up to **one thousand rupees** in excess of the amount indicated in the tax invoice, the time of supply to the extent of such excess amount shall, at the option of the said supplier, be the date of issue of invoice in respect of such excess amount.

Explanation 1.— For the purposes of clauses (a) and (b), "supply" shall be deemed to have been made to the extent it is covered by the invoice or, as the case may be, the payment.

Explanation 2.— For the purposes of clause (b), "the date on which the supplier receives the payment" shall be the date on which the payment is entered in his books of account or the date on which the payment is credited to his bank account, whichever is earlier.

(3) In case of supplies in respect of which tax is paid or liable to be paid on reverse charge basis, the time of supply shall be the earliest of the following dates, namely:—

(a) the date of the receipt of goods; or

(b) the date of payment as entered in the books of account of the recipient or the date on which the payment is debited in his bank account, whichever is earlier; or

(c) the date immediately following **thirty days** from the date of issue of invoice or any other document, by whatever name called, in lieu thereof by the supplier:

Provided that where it is not possible to determine the time of supply under clause (a) or clause (b) or clause (c), the time of supply shall be the date of entry in the books of account of the recipient of supply.

(4) In case of supply of vouchers by a supplier, the time of supply shall be—

(a) the date of issue of voucher, if the supply is identifiable at that point; or

(b) the date of redemption of voucher, in all other cases.

(5) Where it is not possible to determine the time of supply under the provisions of sub-section (2) or sub-section (3) or sub-section (4), the time of supply shall—

(a) in a case where a periodical return has to be filed, be the date on which such return is to be filed; or

(b) in any other case, be the date on which the tax is paid.

(6) The time of supply to the extent it relates to an addition in the value of supply by way of interest, late fee or penalty for delayed payment of any consideration shall be the date on which the supplier receives such addition in value.

Section 13. Time of supply of services.

(1) The liability to pay tax on services shall arise at the time of supply, as determined in accordance with the provisions of this section.

(2) The time of supply of services shall be the earliest of the following dates, namely:—

(a) the date of issue of invoice by the supplier, if the invoice is issued within the period prescribed under section 31 or the date of receipt of payment, whichever is earlier; or

(b) the date of provision of service, if the invoice is not issued within the period prescribed under section 31 or the date of receipt of payment, whichever is earlier; or

(c) the date on which the recipient shows the receipt of services in his books of account, in a case where the provisions of clause (a) or clause (b) do not apply:

Provided that where the supplier of taxable service receives an amount up to **one thousand rupees** in excess of the amount indicated in the tax invoice, the time of supply to the extent of such excess amount shall, at the option of the said supplier, be the date of issue of invoice relating to such excess amount.

Explanation.— For the purposes of clauses (a) and (b)—

(i) the supply shall be deemed to have been made to the extent it is covered by the invoice or, as the case may be, the payment;

(ii) "the date of receipt of payment" shall be the date on which the payment is entered in the books of account of the supplier or the date on which the payment is credited to his bank account, whichever is earlier.

(3) In case of supplies in respect of which tax is paid or liable to be paid on reverse charge basis, the time of supply shall be the earlier of the following dates, namely:—

(a) the date of payment as entered in the books of account of the recipient or the date on which the payment is debited in his bank account, whichever is earlier; or

(b) the date immediately following **sixty days** from the date of issue of invoice or any other document, by whatever name called, in lieu thereof by the supplier, in cases where invoice is required to be issued by the supplier; or

(c) the date of issue of invoice by the recipient, in cases where invoice is to be issued by the recipient:

Provided that where it is not possible to determine the time of supply under clause (a) or clause (b) or clause (c), the time of supply shall be the date of entry in the books of account of the recipient of supply:

Provided further that in case of supply by associated enterprises, where the supplier of service is located outside India, the time of supply shall be the date of entry in the books of account of the recipient of supply or the date of payment, whichever is earlier.

(4) In case of supply of vouchers by a supplier, the time of supply shall be—

(a) the date of issue of voucher, if the supply is identifiable at that point; or

(b) the date of redemption of voucher, in all other cases.

(5) Where it is not possible to determine the time of supply under the provisions of sub-section (2) or sub-section (3) or sub-section (4), the time of supply shall—

(a) in a case where a periodical return has to be filed, be the date on which such return is to be filed; or

(b) in any other case, be the date on which the tax is paid.

(6) The time of supply to the extent it relates to an addition in the value of supply by way of interest, late fee or penalty for delayed payment of any consideration shall be the date on which the supplier receives such addition in value.

Section 14. Change in rate of tax in respect of supply of goods or services.

Notwithstanding anything contained in section 12 or section 13, the time of supply, where there is a change in the rate of tax in respect of goods or services or both, shall be determined in the following manner, namely:—

(a) in case the goods or services or both have been supplied **before** the change in rate of tax,—

(i) where the invoice for the same has been issued and the payment is also received **after** the change in rate of tax, the time of supply shall be the date of receipt of payment or the date of issue of invoice, whichever is earlier; or

(ii) where the invoice has been issued **prior to** the change in rate of tax but payment is received **after** the change in rate of tax, the time of supply shall be the date of issue of invoice; or

(iii) where the payment has been received **before** the change in rate of tax, but the invoice for the same is issued **after** the change in rate of tax, the time of supply shall be the date of receipt of payment;

(b) in case the goods or services or both have been supplied **after** the change in rate of tax,—

(i) where the payment is received **after** the change in rate of tax but the invoice has been issued **prior to** the change in rate of tax, the time of supply shall be the date of receipt of payment; or

(ii) where the invoice has been issued and payment is received **before** the change in rate of tax, the time of supply shall be the date of receipt of payment or date of issue of invoice, whichever is earlier; or

(iii) where the invoice has been issued **after** the change in rate of tax but the payment is received **before** the change in rate of tax, the time of supply shall be the date of issue of invoice:

Provided that the date of receipt of payment shall be the date of credit in the bank account if such credit in the bank account is after **four working days** from the date of change in the rate of tax.

Explanation.— For the purposes of this section, "the date of receipt of payment" shall be the date on which the payment is entered in the books of account of the supplier or the date on which the payment is credited to his bank account, whichever is earlier.

Section 15. Value of taxable supply.

(1) The value of a supply of goods/services shall be the **transaction value** — price actually paid/payable, where supplier and recipient are not related and price is the sole consideration.

(2) Transaction value shall include: (a) any taxes/duties/cesses/fees charged under any law other than GST Acts, if charged separately; (b) any amount the supplier is liable to pay but incurred by the recipient (not included in price); (c) incidental expenses including commission, packing, charged by supplier; (d) interest/late fee/penalty for delayed payment; (e) subsidies directly linked to price (excluding Government subsidies).

Proviso: Subsidy received from Government not included in value.

(3) Value shall not include **discount** if: (a) given before or at time of supply and recorded in invoice; (b) given after supply — if established in terms of agreement and linked to specific invoices and recipient has reversed ITC attributable to discount.

(4) Where value cannot be determined under sub-section (1), value shall be determined in prescribed manner.

(5) Government may notify categories of supply for which value shall be determined in prescribed manner.

CHAPTER V — INPUT TAX CREDIT

Section 16. Eligibility and conditions for taking input tax credit.

(1) Every registered person shall, subject to such conditions and restrictions as may be prescribed and in the manner specified in section 49, be entitled to take credit of input tax charged on any supply of goods or services or both to him which are used or intended to be used in the course or furtherance of his business and the said amount shall be credited to the electronic credit ledger of such person.

(2) Notwithstanding anything contained in this section, no registered person shall be entitled to the credit of any input tax in respect of any supply of goods or services or both to him unless,—

(a) he is in possession of a tax invoice or debit note issued by a supplier registered under this Act, or such other tax paying documents as may be prescribed;

(aa) the details of the invoice or debit note referred to in clause (a) has been furnished by the supplier in the statement of outward supplies and such details have been communicated to the recipient of such invoice or debit note in the manner specified under section 37;

(b) he has received the goods or services or both.

Explanation.— For the purposes of this clause, it shall be deemed that the registered person has received the goods or, as the case may be, services—

(i) where the goods are delivered by the supplier to a recipient or any other person on the direction of such registered person, whether acting as an agent or otherwise, before or during movement of goods, either by way of transfer of documents of title to goods or otherwise;

(ii) where the services are provided by the supplier to any person on the direction of and on account of such registered person.

(ba) the details of input tax credit in respect of the said supply communicated to such registered person under section 38 has not been restricted;

(c) subject to the provisions of section 41, the tax charged in respect of such supply has been actually paid to the Government, either in cash or through utilisation of input tax credit admissible in respect of the said supply; and

(d) he has furnished the return under section 39:

Provided that where the goods against an invoice are received in lots or instalments, the registered person shall be entitled to take credit upon receipt of the last lot or instalment:

Provided further that where a recipient fails to pay to the supplier of goods or services or both, other than the supplies on which tax is payable on reverse charge basis, the amount towards the value of supply along with tax payable thereon within a period of **one hundred and eighty days** from the date of issue of invoice by the supplier, an amount equal to the input tax credit availed by the recipient shall be paid by him along with interest payable under section 50, in such manner as may be prescribed:

Provided also that the recipient shall be entitled to avail of the credit of input tax on payment made by him to the supplier of the amount towards the value of supply of goods or services or both along with tax payable thereon.

(3) Where the registered person has claimed depreciation on the tax component of the cost of capital goods and plant and machinery under the provisions of the Income-tax Act, 1961 (43 of 1961), the input tax credit on the said tax component shall not be allowed.

(4) A registered person shall not be entitled to take input tax credit in respect of any invoice or debit note for supply of goods or services or both after the **thirtieth day of November** following the end of financial year to which such invoice or debit note pertains or furnishing of the relevant annual return, whichever is earlier.

Provided that the registered person shall be entitled to take input tax credit after the due date of furnishing of the return under section 39 for the month of September, 2018 till the due date of furnishing of the return under the said section for the month of March, 2019 in respect of any invoice or invoice relating to such debit note for supply of goods or services or both made during the financial year 2017-18, the details of which have been uploaded by the supplier under sub-section (1) of section 37 till the due date for furnishing the details under sub-section (1) of said section for the month of March, 2019.

(5) Notwithstanding anything contained in sub-section (4), in respect of an invoice or debit note for supply of goods or services or both pertaining to the Financial Years **2017-18, 2018-19, 2019-20 and 2020-21**, the registered person shall be entitled to take input tax credit in any return under section 39 which is filed up to the **thirtieth day of November, 2021**.

(6) Where registration of a registered person is cancelled under section 29 and subsequently the cancellation of registration is revoked by any order, either under section 30 or pursuant to any order made by the Appellate Authority or the Appellate Tribunal or court and where availment of input tax credit in respect of an invoice or debit note was not restricted under sub-section (4) on the date of order of cancellation of registration, the said person shall be entitled to take the input tax credit in respect of such invoice or debit note for supply of goods or services or both, in a return under section 39,—

(i) filed up to **thirtieth day of November** following the financial year to which such invoice or debit note pertains or furnishing of the relevant annual return, whichever is earlier; or

(ii) for the period from the date of cancellation of registration or the effective date of cancellation of registration, as the case may be, till the date of order of revocation of cancellation of registration, where such return is filed within **thirty days** from the date of order of revocation of cancellation of registration,

whichever is later.

Section 17. Apportionment of credit and blocked credits.

(1) Where goods/services used partly for business and partly for other purposes, ITC available only to the extent attributable to business purposes.

(2) Where goods/services used partly for taxable (including zero-rated) supplies and partly for exempt supplies, ITC available only to the extent attributable to taxable supplies (including zero-rated).

(3) Value of exempt supplies under sub-section (2) shall include: supply of goods under Schedule III (except sale of land and completed building), and the value of security-related transactions and sale of warehoused goods.

(4) Banking company/financial institution shall have the option to either: (a) follow sub-section (2) proportionality; or (b) avail **fifty per cent** of eligible ITC on inputs, capital goods and input services each month, with remaining lapsing.

(5) ITC shall **not be available** in respect of the following (Blocked credits): (a) **Motor vehicles and conveyances** — except when used for: (i) further supply of such vehicles; (ii) transportation of passengers; (iii) imparting training on driving/flying/navigating; (iv) transportation of goods; (b) Food and beverages, outdoor catering, beauty treatment, health services, cosmetic/plastic surgery — except where used for further supply or as employee obligation under law; (c) Membership of club, health and fitness centre; (d) Rent-a-cab, life insurance, health insurance — except where used for further supply or as employee obligation under law; (e) Travel benefits extended to employees on vacation (LTC/LTA); (f) Works contract services for construction of immovable property (other than plant and machinery) — except where it is an input service for further supply of works contract;

(fa) Goods or services received by a taxable person for construction of immovable property on his own account, including when such goods/services are used in course of business — ITC not available even if capitalised; (g) Goods/services on which composition tax is paid under section 10; (h) Goods/services received by a non-resident taxable person, except on goods imported by him; (i) Goods/services used for personal consumption; (j) Goods lost, stolen, destroyed, written off, or disposed of by way of gift or free samples; (k) Tax paid in accordance with sections 74, 129, and 130.

Explanation.— "Plant and machinery" means apparatus, equipment, and machinery fixed to earth by foundation or structural support, used for making outward supply, and includes foundation and structural supports, but excludes: land, building, or any other civil structures; telecommunication towers; and pipelines laid outside the factory premises.

(6) Government may prescribe manner of determination of ITC and its apportionment between taxable and exempt supplies.

Section 18. Availability of credit in special circumstances.

(1) Person who has applied for registration within **thirty days** of becoming liable, or who has obtained voluntary registration, or who ceases to pay under section 10, or exempted supply becoming taxable — shall be entitled to ITC on inputs held in stock, semi-finished/finished goods held in stock, and capital goods (reduced by prescribed percentage per quarter) on the day immediately preceding: (a) date of grant of registration; (b) date of registration for voluntary registrant; (c) date of cessation from section 10; (d) date exempted supply becomes taxable.

Proviso: ITC not available if registration application filed after **thirty days** from date of entitlement.

Proviso: ITC not available on inputs/capital goods purchased more than **one year** before date of issue of tax invoice by supplier.

(2) Person opting for composition under section 10, or where goods/services become wholly exempt: shall pay an amount equivalent to ITC of inputs held in stock, semi-finished/finished goods held in stock, and capital goods (reduced by prescribed percentage), by debit to electronic credit/cash ledger.

(3) Where there is change in constitution by sale, merger, demerger, amalgamation, lease or transfer of business — the transferor shall be allowed to transfer ITC remaining in books to transferee, subject to prescribed conditions.

(4) Change in constitution of registered person on account of sale, merger, demerger, amalgamation, lease or transfer: the ITC in electronic credit ledger shall be allowed to be transferred.

(5) Details of stock held to be furnished in prescribed form.

(6) Amount determined under sub-section (2) to be calculated in prescribed manner.

Section 19. Taking input tax credit in respect of inputs and capital goods sent for job work.

(1) Principal can take ITC on inputs/capital goods sent to job worker for job work.

(2) ITC allowed even if inputs/capital goods sent directly to job worker (without being first brought to principal's premises).

(3) If inputs not received back within **one year**: principal shall pay tax along with interest (as if the inputs were supplied on the day sent).

(4) If capital goods (other than moulds/dies/jigs/fixtures/tools) not received back within **three years**: principal shall pay tax along with interest.

(5) Sub-sections (3) and (4): if inputs/capital goods subsequently received back, the principal entitled to take ITC.

(6) Government may prescribe time within which inputs/capital goods sent for job work are to be returned.

(7) For items sent for job work before commencement of Act: section 141 applies.

Section 20. Manner of distribution of credit by Input Service Distributor.

(1) Any office of the supplier of goods or services or both which receives tax invoices towards the receipt of input services, including invoices in respect of services liable to tax under sub-section (3) or sub-section (4) of section 9 of this Act or under sub-section (3) or sub-section (4) of section 5 of the Integrated Goods and Services Tax Act, 2017 (13 of 2017), for or on behalf of distinct persons referred to in section 25, shall be required to be registered as Input Service Distributor under clause (viii) of section 24 and shall distribute the input tax credit in respect of such invoices.

(2) The Input Service Distributor shall distribute the credit of central tax or integrated tax charged on invoices received by him, including the credit of central or integrated tax in respect of services subject to levy of tax under sub-section (3) or sub-section (4) of section 9 of this Act or under sub-section (3) or sub-section (4) of section 5 of the Integrated Goods and Services Tax Act, 2017 (13 of 2017), paid by a distinct person registered in the same State as the said Input Service Distributor, in such manner, within such time and subject to such restrictions and conditions as may be prescribed.

(3) The credit of central tax shall be distributed as central tax or integrated tax and integrated tax as integrated tax or central tax, by way of issue of a document containing the amount of input tax credit, in such manner as may be prescribed.

Section 21. Manner of recovery of credit distributed in excess.

Where the Input Service Distributor distributes the credit in contravention of the provisions contained in section 20 resulting in excess distribution of credit to one or more recipients of credit, the excess credit so distributed shall be recovered from such recipients along with interest, and the provisions of section 73 or section 74 or section 74A, as the case may be, shall, mutatis mutandis, apply for determination of amount to be recovered.

CHAPTER VI — REGISTRATION

Section 22. Persons liable for registration.

(1) Every supplier shall be liable to be registered under this Act in the State or Union territory, other than special category States, from where he makes a taxable supply of goods or services or both, if his aggregate turnover in a financial year exceeds **twenty lakh rupees**:

Provided that where such person makes taxable supplies of goods or services or both from any of the special category States, he shall be liable to be registered if his aggregate turnover in a financial year exceeds **ten lakh rupees**.

Provided further that the Government may, at the request of a special category State and on the recommendations of the Council, enhance the aggregate turnover referred to in the first proviso from **ten lakh rupees** to such amount, not exceeding **twenty lakh rupees** and subject to such conditions and limitations, as may be so notified.

Provided also that the Government may, at the request of a State and on the recommendations of the Council, enhance the aggregate turnover from **twenty lakh rupees** to such amount not exceeding **forty lakh rupees** in case of supplier who is engaged exclusively in the supply of goods, subject to such conditions and limitations, as may be notified.

Explanation.— For the purposes of this sub-section, a person shall be considered to be engaged exclusively in the supply of goods even if he is engaged in exempt supply of services provided by way of extending deposits, loans or advances in so far as the consideration is represented by way of interest or discount.

(2) Every person who, on the day immediately preceding the appointed day, is registered or holds a licence under an existing law, shall be liable to be registered under this Act with effect from the appointed day.

(3) Where a business carried on by a taxable person registered under this Act is transferred, whether on account of succession or otherwise, to another person as a going concern, the transferee or the successor, as the case may be, shall be liable to be registered with effect from the date of such transfer or succession.

(4) Notwithstanding anything contained in sub-sections (1) and (3), in a case of transfer pursuant to sanction of a scheme or an arrangement for amalgamation or, as the case may be, demerger of two or more companies pursuant to an order of a High Court, Tribunal or otherwise, the transferee shall be liable to be registered, with effect from the date on which the Registrar of Companies issues a certificate of incorporation giving effect to such order of the High Court or Tribunal.

Explanation.— For the purposes of this section,—

(i) the expression "aggregate turnover" shall include all supplies made by the taxable person, whether on his own account or made on behalf of all his principals;

(ii) the supply of goods, after completion of job work, by a registered job worker shall be treated as the supply of goods by the principal referred to in section 143, and the value of such goods shall not be included in the aggregate turnover of the registered job worker;

(iii) the expression "special category States" shall mean the States as specified in sub-clause (g) of clause (4) of article 279A of the Constitution except the State of Jammu and Kashmir and States of Arunachal Pradesh, Assam, Himachal Pradesh, Meghalaya, Sikkim and Uttarakhand.

Section 23. Persons not liable for registration.

(1) The following persons shall not be liable to registration, namely:—

(a) any person engaged exclusively in the business of supplying goods or services or both that are not liable to tax or wholly exempt from tax under this Act or under the Integrated Goods and Services Tax Act;

(b) an agriculturist, to the extent of supply of produce out of cultivation of land.

(2) Notwithstanding anything to the contrary contained in sub-section (1) of section 22 or section 24, the Government may, on the recommendations of the Council, by notification, subject to such conditions and restrictions as may be specified therein, specify the category of persons who may be exempted from obtaining registration under this Act.

Section 24. Compulsory registration in certain cases.

Notwithstanding anything contained in sub-section (1) of section 22, the following categories of persons shall be required to be registered under this Act,—

(i) persons making any inter-State taxable supply;

(ii) casual taxable persons making taxable supply;

(iii) persons who are required to pay tax under reverse charge;

(iv) person who are required to pay tax under sub-section (5) of section 9;

(v) non-resident taxable persons making taxable supply;

(vi) persons who are required to deduct tax under section 51, whether or not separately registered under this Act;

(vii) persons who make taxable supply of goods or services or both on behalf of other taxable persons whether as an agent or otherwise;

(viii) Input Service Distributor, whether or not separately registered under this Act;

(ix) persons who supply goods or services or both, other than supplies specified under sub-section (5) of section 9, through such electronic commerce operator who is required to collect tax at source under section 52;

(x) every electronic commerce operator who is required to collect tax at source under section 52;

(xi) every person supplying online information and database access or retrieval services from a place outside India to a person in India, other than a registered person;

(xia) every person supplying online money gaming from a place outside India to a person in India; and

(xii) such other person or class of persons as may be notified by the Government on the recommendations of the Council.

Section 25. Procedure for registration.

(1) Every person liable to be registered under section 22 or 24 shall apply for registration within **thirty days** from the date of liability. Casual/non-resident taxable person: at least **five days** prior to commencement of business.

(2) A person having multiple business verticals in a State/UT may obtain separate registration for each business vertical.

(3) A person may obtain voluntary registration even if not liable under section 22 or 24.

(4) Every person who on the appointed day is registered or holds a license under existing law shall be granted registration on provisional basis (Section 139).

(5) If a person liable for registration applies within **thirty days**, effective date of registration is the date on which he became liable.

(6) Single registration per State/UT. Exception: persons with multiple business verticals.

(6A) Every registered person shall undergo authentication or furnish proof of possession of Aadhaar number, in prescribed manner. Proviso: where authentication not completed, registration to be granted only after physical verification of place of business.

(6B) On the basis of risk assessment/data analysis, the Commissioner may require persons to undergo biometric-based Aadhaar authentication and photograph.

(6C) Government may, on Council recommendations, notify States/UTs for which sub-sections (6A)/(6B) shall apply.

(7) Physical presence not required at business premise where Aadhaar authentication done by authorised signatory.

(8) Where a PAN-based registration has been given under any other Act and contains correspondence address, it shall be deemed as registration under this Act.

(9) Proper officer may cancel deemed registration if registration is liable to be cancelled under section 29.

(10) Government may notify persons exempt from Aadhaar authentication.

(11) Every registered person shall display GSTIN and effective date of registration on name board at principal/additional place of business. GSTIN also to be mentioned in prescribed documents.

(12) GSTIN to be assigned on verification in prescribed manner.

Section 26. Deemed registration.

(1) The grant of registration or the Unique Identity Number under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act shall be deemed to be a grant of registration or the Unique Identity Number under this Act subject to the condition that the application for registration or the Unique Identity Number has not been rejected under this Act within the time specified in sub-section (10) of section 25.

(2) Notwithstanding anything contained in sub-section (10) of section 25, any rejection of application for registration or the Unique Identity Number under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act shall be deemed to be a rejection of application for registration under this Act.

Section 27. Special provisions relating to casual taxable person and non-resident taxable person.

(1) The certificate of registration issued to a casual taxable person or a non-resident taxable person shall be valid for the period specified in the application for registration or **ninety days** from the effective date of registration, whichever is earlier and such person shall make taxable supplies only after the issuance of the certificate of registration:

Provided that the proper officer may, on sufficient cause being shown by the said taxable person, extend the said period of **ninety days** by a further period not exceeding **ninety days**.

(2) A casual taxable person or a non-resident taxable person shall, at the time of submission of application for registration under sub-section (1) of section 25, make an advance deposit of tax in an amount equivalent to the estimated tax liability of such person for the period for which the registration is sought:

Provided that where any extension of time is sought under sub-section (1), such taxable person shall deposit an additional amount of tax equivalent to the estimated tax liability of such person for the period for which the extension is sought.

(3) The amount deposited under sub-section (2) shall be credited to the electronic cash ledger of such person and shall be utilised in the manner provided under section 49.

Section 28. Amendment of registration.

(1) Every registered person and a person to whom a Unique Identity Number has been assigned shall inform the proper officer of any changes in the information furnished at the time of registration or subsequent thereto, in such form and manner and within such period as may be prescribed.

(2) The proper officer may, on the basis of information furnished under sub-section (1) or as ascertained by him, approve or reject amendments in the registration particulars in such manner and within such period as may be prescribed:

Provided that approval of the proper officer shall not be required in respect of amendment of such particulars as may be prescribed:

Provided further that the proper officer shall not reject the application for amendment in the registration particulars without giving the person an opportunity of being heard.

(3) Any rejection or approval of amendments under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act, as the case may be, shall be deemed to be a rejection or approval under this Act.

Section 29. Cancellation or suspension of registration.

(1) Proper officer may cancel registration on following grounds: (a) business discontinued/transferred/amalgamated/wound up; (b) change in constitution of business; (c) taxable person no longer liable for registration under section 22 or 24; (d) registered person contravened provisions of the Act; (e) composition taxpayer has not furnished returns for **three consecutive** tax periods; (f) any registered person, other than composition, has not furnished returns for a **continuous period of six months**; (g) voluntary registration not commenced business within **six months**; (h) registration obtained by fraud/wilful misstatement/suppression of facts.

Proviso: Proper officer shall not cancel registration without giving **show cause notice** and opportunity of being heard.

(2) Registration may be **suspended** from the date of show cause notice pending completion of proceedings.

(2A) Proper officer may suspend registration where significant anomalies detected in return or comparison between GSTR-1 and GSTR-3B, as may be prescribed.

(3) Cancellation of registration shall not affect the liability of the person to pay tax and other dues for any period prior to cancellation, or to file returns, or to discharge liability.

(4) Cancellation shall not affect the liability of any surety/security.

(5) On cancellation of registration, the person shall pay an amount equivalent to ITC on inputs held in stock, semi-finished or finished goods held in stock, or capital goods or plant and machinery, on the day immediately preceding the effective date of cancellation (computed by debit to electronic credit ledger or electronic cash ledger). ITC on capital goods: reduced by prescribed percentage per quarter or part thereof.

Section 30. Revocation of cancellation of registration.

(1) Subject to such conditions as may be prescribed, any registered person, whose registration is cancelled by the proper officer on his own motion, may apply to such officer for revocation of cancellation of the registration in such manner, within such time and subject to such conditions and restrictions, as may be prescribed.

(2) The proper officer may, in such manner and within such period as may be prescribed, by order, either revoke cancellation of the registration or reject the application:

Provided that the application for revocation of cancellation of registration shall not be rejected unless the applicant has been given an opportunity of being heard.

Provided further that such revocation of cancellation of registration shall be subject to such conditions and restrictions, as may be prescribed.

(3) The revocation of cancellation of registration under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act, as the case may be, shall be deemed to be a revocation of cancellation of registration under this Act.

CHAPTER VII — TAX INVOICE, CREDIT AND DEBIT NOTES

Section 31. Tax invoice.

(1) Registered person supplying **taxable goods** shall issue tax invoice **before or at the time of** removal of goods (for supply involving movement) or delivery/making available to recipient (other cases).

(2) Registered person supplying **taxable services** shall issue tax invoice **before or after** provision of service but within prescribed period.

(3) Government may, on Council recommendations, specify categories of goods/services or registered persons for whom: (a) tax invoice shall not be issued; (b) revised invoice may be issued within prescribed period; (c) bill of supply may be issued (instead of tax invoice); (d) consolidated tax invoice may be issued; (e) invoice/other prescribed document to be issued by ISD; (f) any other document in lieu of tax invoice.

(3A) Registered person shall not issue tax invoice if value of goods/services supplied is less than **two hundred rupees**, subject to conditions. Bill of supply may be issued. But registered person may issue tax invoice voluntarily and recipient entitled to demand tax invoice.

(4) Government may, on Council recommendations, impose time and manner for issuance of invoices for special categories (insurer, banking company, financial institution, telecom, etc.).

(5) In case of continuous supply of goods (where successive accounts or periodic payments are involved), invoice shall be issued at the time specified.

(6) In case of continuous supply of services, invoice shall be issued: (a) where due date ascertainable from contract: on or before due date; (b) where due date not ascertainable: before or at the time of receipt of payment; (c) where payment linked to completion of event: on or before date of completion of event.

(7) Goods sent on approval/sale or return: invoice to be issued before or at the time of supply, or **six months** from date of removal, whichever is earlier.

Section 31A. Facility of digital payment to recipient.

The Government may, on the recommendations of the Council, prescribe a class of registered persons who shall provide prescribed modes of electronic payment to the recipient of supply of goods or services or both made by him and give option to such recipient to make payment accordingly, in such manner and subject to such conditions and restrictions, as may be prescribed.

Section 32. Prohibition of unauthorised collection of tax.

(1) A person who is not a registered person shall not collect in respect of any supply of goods or services or both any amount by way of tax under this Act.

(2) No registered person shall collect tax except in accordance with the provisions of this Act or the rules made thereunder.

Section 33. Amount of tax to be indicated in tax invoice and other documents.

Notwithstanding anything contained in this Act or any other law for the time being in force, where any supply is made for a consideration, every person who is liable to pay tax for such supply shall prominently indicate in all documents relating to assessment, tax invoice and other like documents, the amount of tax which shall form part of the price at which such supply is made.

Section 34. Credit and debit notes.

(1) Where one or more tax invoices have been issued for supply of any goods or services or both and the taxable value or tax charged in that tax invoice is found to exceed the taxable value or tax payable in respect of such supply, or where the goods supplied are returned by the recipient, or where goods or services or both supplied are found to be deficient, the registered person, who has supplied such goods or services or both, may issue to the recipient one or more credit notes for supplies made in a financial year containing such particulars as may be prescribed.

(2) Any registered person who issues a credit note in relation to a supply of goods or services or both shall declare the details of such credit note in the return for the month during which such credit note has been issued but not later than the **thirtieth day of November** following the end of the financial year in which such supply was made, or the date of furnishing of the relevant annual return, whichever is earlier, and the tax liability shall be adjusted in such manner as may be prescribed:

Provided that no reduction in output tax liability of the supplier shall be permitted, if the incidence of tax and interest on such supply has been passed on to any other person.

(3) Where one or more tax invoices have been issued for supply of any goods or services or both and the taxable value or tax charged in that tax invoice is found to be less than the taxable value or tax payable in respect of such supply, the registered person, who has supplied such goods or services or both, shall issue to the recipient one or more debit notes for supplies made in a financial year containing such particulars as may be prescribed.

(4) Any registered person who issues a debit note in relation to a supply of goods or services or both shall declare the details of such debit note in the return for the month during which such debit note has been issued and the tax liability shall be adjusted in such manner as may be prescribed.

Explanation.— For the purposes of this Act, the expression "debit note" shall include a supplementary invoice.

CHAPTER VIII — ACCOUNTS AND RECORDS

Section 35. Accounts and other records.

(1) Every registered person shall keep and maintain, at his principal place of business, accounts and records of: production/manufacture; inward and outward supply; stock of goods; ITC availed; output tax payable and paid; and such other particulars as may be prescribed.

(2) Commissioner may notify class of taxable persons to maintain additional accounts/documents.

(3) Registered person maintaining accounts in electronic form shall retain them for prescribed period and produce them before officer on demand.

(4) Agent shall maintain accounts showing: authorisation received; details of supply (description, value, tax); details of tax paid on supply; and details of payment received in respect of such supply.

(5) Transporter/warehouse owner/godown keeper shall maintain records of consigner/consignee, goods stored/transported, delivery details.

(6) Owner/operator of warehouse/godown shall store goods in prescribed manner and produce records before officer on demand.

Section 36. Period of retention of accounts.

Every registered person required to keep and maintain books of account or other records in accordance with the provisions of sub-section (1) of section 35 shall retain them until the expiry of **seventy-two months** from the due date of furnishing of annual return for the year pertaining to such accounts and records:

Provided that a registered person, who is a party to an appeal or revision or any other proceedings before any Appellate Authority or Revisional Authority or Appellate Tribunal or court, whether filed by him or by the Commissioner, or is under investigation for an offence under Chapter XIX, shall retain the books of account and other records pertaining to the subject matter of such appeal or revision or proceedings or investigation for a period of **one year** after final disposal of such appeal or revision or proceedings or investigation, or for the period specified above, whichever is later.

CHAPTER IX — RETURNS

Section 37. Furnishing details of outward supplies.

(1) Every registered person (other than ISD, non-resident, composition, TDS, TCS, and UIN-holders) shall furnish details of outward supplies during a tax period, electronically, in prescribed form, on or before the **tenth day** of the succeeding month.

(2) Every registered person who has been communicated details under section 38 shall either accept or reject the details, on or before the **seventeenth day** but not before the **eleventh day** of the succeeding month.

(3) Details of outward supplies furnished by registered persons include: invoice-wise details of inter-State/intra-State supplies, zero-rated supplies, deemed exports, advances received, and adjustment of advances received earlier for which invoices have been issued.

(4) Details of outward supplies shall include details of debit notes, credit notes, and revised invoices issued during the month.

(5) Government may notify class of persons who need not furnish details under section 37.

Section 38. Communication of details of inward supplies and input tax credit.

The details of outward supplies furnished by registered persons under section 37 shall be made available to the recipient in prescribed form and manner, along with details of eligible/ineligible ITC, on the common portal, after due date of filing return under section 39 for the said tax period.

Section 39. Furnishing of returns.

(1) Every registered person, other than an Input Service Distributor or a non-resident taxable person or a person paying tax under the provisions of section 10 or section 51 or section 52 shall, for every calendar month or part thereof, furnish, a return, electronically, of inward and outward supplies of goods or services or both, input tax credit availed, tax payable, tax paid and such other particulars, in such form and manner, and within such time, as may be prescribed:

Provided that the Government may, on the recommendations of the Council, notify certain class of registered persons who shall furnish a return for every quarter or part thereof, subject to such conditions and restrictions as may be specified therein.

(2) A registered person paying tax under the provisions of section 10, shall, for each financial year or part thereof, furnish a return, electronically, of turnover in the State or Union territory, inward supplies of goods or services or both, tax payable, tax paid and such other particulars in such form and manner, and within such time, as may be prescribed.

(3) Every registered person required to deduct tax at source under section 51 shall electronically furnish a return for every calendar month of the deductions made during the month in such form and manner and within such time as may be prescribed:

Provided that the said registered person shall furnish a return for every calendar month whether or not any deductions have been made during the said month.

(4) Composition taxpayer: quarterly return by the **eighteenth day** of the month succeeding the quarter.

(5) Non-resident taxable person: return within **thirteen days** after the end of the month or within **seven days** after the last day of the registration period, whichever is earlier.

(6) Registrant under section 51 (TDS): return within **ten days** after end of month.

(7) Every registered person required to deduct tax or collect tax shall also submit a return for the month in which such amount was deducted/collected, by the **tenth day** of the succeeding month.

(8) Input Service Distributor: return by the **thirteenth day** of the succeeding month.

(9) Return filed without payment of self-assessed tax not treated as valid return.

(10) Government may notify class of persons who may furnish return on quarterly basis, subject to prescribed conditions.

(11) Government may extend due date for any class of registered persons.

Section 40. First return.

Every registered person who has made outward supplies in the period between the date on which he became liable to registration till the date on which registration has been granted shall declare the same in the first return furnished by him after grant of registration.

Section 41. Availment of input tax credit.

(1) Every registered person shall, subject to such conditions and restrictions as may be prescribed, be entitled to avail the credit of eligible input tax, as self-assessed, in his return and such amount shall be credited to his electronic credit ledger.

(2) The credit of input tax availed by a registered person under sub-section (1) in respect of such supplies of goods or services or both, the tax payable whereon has not been paid by the supplier, shall be reversed along with applicable interest, by the said person in such manner as may be prescribed:

Provided that where the said supplier makes payment of the tax payable in respect of the aforesaid supplies, the said registered person may re-avail the amount of credit reversed by him in such manner as may be prescribed.

Section 42. ***[Matching, reversal and reclaim of input tax credit.]*** **— Omitted.**

Section 43. ***[Matching, reversal and reclaim of reduction in output tax liability.]*** **— Omitted.**

Section 43A. ***[Procedure for furnishing return and availing input tax credit.]*** **— Omitted.**

Section 44. Annual return.

(1) Every registered person, other than an Input Service Distributor, a person paying tax under section 51 or section 52, a casual taxable person and a non-resident taxable person shall furnish an annual return which may include a self-certified reconciliation statement, reconciling the value of supplies declared in the return furnished for the financial year, with the audited annual financial statement for every financial year electronically, within such time and in such form and in such manner as may be prescribed:

Provided that the Commissioner may, on the recommendations of the Council, by notification, exempt any class of registered persons from filing annual return under this section:

Provided further that nothing contained in this section shall apply to any department of the Central Government or a State Government or a local authority, whose books of account are subject to audit by the Comptroller and Auditor-General of India or an auditor appointed for auditing the accounts of local authorities under any law for the time being in force.

(2) A registered person shall not be allowed to furnish an annual return under sub-section (1) for a financial year after the expiry of a period of **three years** from the due date of furnishing the said annual return:

Provided that the Government may, on the recommendations of the Council, by notification, and subject to such conditions and restrictions as may be specified therein, allow a registered person or a class of registered persons to furnish an annual return for a financial year under sub-section (1), even after the expiry of the said period of **three years** from the due date of furnishing the said annual return.

Section 45. Final return.

Every registered person who is required to furnish a return under sub-section (1) of section 39 and whose registration has been cancelled shall furnish a final return within **three months** of the date of cancellation or date of order of cancellation, whichever is later, in such form and manner as may be prescribed.

Section 46. Notice to return defaulters.

Where a registered person fails to furnish a return under section 39 or section 44 or section 45, a notice shall be issued requiring him to furnish such return within **fifteen days** in such form and manner as may be prescribed.

Section 47. Levy of late fee.

(1) Any registered person who fails to furnish the details of outward supplies required under section 37 or returns required under section 39 or section 45 or section 52 by the due date shall pay a late fee of **one hundred rupees** for every day during which such failure continues subject to a maximum amount of **five thousand rupees**.

(2) Any registered person who fails to furnish the return required under section 44 by the due date shall be liable to pay a late fee of **one hundred rupees** for every day during which such failure continues subject to a maximum of an amount calculated at a **quarter per cent.** of his turnover in the State or Union territory.

Section 48. Goods and services tax practitioners.

(1) The manner of approval of goods and services tax practitioners, their eligibility conditions, duties and obligations, manner of removal and other conditions relevant for their functioning shall be such as may be prescribed.

(2) A registered person may authorise an approved goods and services tax practitioner to furnish the details of outward supplies under section 37, and the return under section 39 or section 44 or section 45 and to perform such other functions in such manner as may be prescribed.

(3) Notwithstanding anything contained in sub-section (2), the responsibility for correctness of any particulars furnished in the return or other details filed by the goods and services tax practitioners shall continue to rest with the registered person on whose behalf such return and details are furnished.

CHAPTER X — PAYMENT OF TAX

Section 49. Payment of tax, interest, penalty and other amounts.

(1) Every deposit towards tax, interest, penalty, fee or any other amount shall be made by internet banking, or by credit/debit card, NEFT/RTGS, or prescribed modes, to the appropriate Government account, and shall be credited to the electronic cash ledger.

(2) ITC as self-assessed in return shall be credited to the electronic credit ledger.

(3) Amount available in electronic cash ledger may be used for payment of any tax, interest, penalty, fee or other amount under this Act, in the prescribed manner.

(4) Amount available in electronic credit ledger may be used for payment of output tax. Amount in electronic credit ledger shall not be used for payment in excess of prescribed ceiling.

(5) The amount of ITC available in electronic credit ledger for payment of output tax shall be utilized in the following order: (a) integrated tax; (b) central tax; (c) State tax/Union territory tax.

(6) Tax payable under this Act to be paid first from electronic credit ledger and then from electronic cash ledger.

(7) All liabilities of a person under this Act shall be recorded and maintained in an electronic liability register in prescribed manner.

(8) Every taxable person shall discharge his tax and other dues in the following order: (a) self-assessed tax and other dues for previous tax periods; (b) self-assessed tax and other dues for current tax period; (c) any other amount payable including demand determined under section 73 or 74 or 74A.

(9) Taxable person may claim refund of balance in electronic cash ledger.

(10) Government may prescribe maximum proportion of output tax liability that may be discharged through electronic credit ledger.

(11) Where any amount is required to be paid and the registered person makes excess payment, such excess shall be refunded or applied towards outstanding dues.

(12) Government may, on recommendation of the Council, prescribe restrictions on use of amount in electronic credit ledger or electronic cash ledger.

Section 49A. Utilisation of input tax credit subject to certain conditions.

Notwithstanding anything contained in section 49, the input tax credit on account of central tax, State tax or Union territory tax shall be utilised towards payment of integrated tax, central tax, State tax or Union territory tax, as the case may be, only after the input tax credit available on account of integrated tax has first been utilised fully towards such payment.

Section 49B. Order of utilisation of input tax credit.

Notwithstanding anything contained in this Chapter and subject to the provisions of clause (e) and clause (f) of sub-section (5) of section 49, the Government may, on the recommendations of the Council, prescribe the order and manner of utilisation of the input tax credit on account of integrated tax, central tax, State tax or Union territory tax, as the case may be, towards payment of any such tax.

Section 50. Interest on delayed payment of tax.

(1) Every person who is liable to pay tax in accordance with the provisions of this Act or the rules made thereunder, but fails to pay the tax or any part thereof to the Government within the period prescribed, shall for the period for which the tax or any part thereof remains unpaid, pay, on his own, interest at such rate, not exceeding **eighteen per cent.**, as may be notified by the Government on the recommendations of the Council.

Provided that the interest on tax payable in respect of supplies made during a tax period and declared in the return for the said period furnished after the due date in accordance with the provisions of section 39, except where such return is furnished after commencement of any proceedings under section 73 or section 74 or section 74A in respect of the said period, shall be payable on that portion of the tax which is paid by debiting the electronic cash ledger.

(2) The interest under sub-section (1) shall be calculated, in such manner as may be prescribed, from the day succeeding the day on which such tax was due to be paid.

(3) Where the input tax credit has been wrongly availed and utilised, the registered person shall pay interest on such input tax credit wrongly availed and utilised, at such rate not exceeding **twenty-four per cent.** as may be notified by the Government, on the recommendations of the Council, and the interest shall be calculated, in such manner as may be prescribed.

Section 51. Tax deduction at source.

(1) Government may mandate specified categories of persons (department/establishment of Central/State Government, local authority, Governmental agencies, or notified persons/categories) to deduct tax at **one per cent** (2% total: 1% CGST + 1% SGST) from the payment made/credited to the supplier where total value of supply under a contract exceeds **two lakh fifty thousand rupees**.

Proviso: No deduction where supplier and recipient are located in same State/UT.

(2) Amount deducted shall be paid to Government within **ten days** after the end of the month of deduction.

(3) Deductor shall furnish return within **ten days** after end of month with details of deductions.

(4) Deductee shall claim credit of TDS in electronic cash ledger.

(5) If deductor fails to pay deducted amount: interest at **eighteen per cent** per annum, and penalty under section 122.

(6) Deductee may claim refund of excess/erroneous deduction if deductor has paid to Government.

(7) Late filing fee: Rs. **one hundred per day** (Rs. 25 CGST + Rs. 25 SGST per day) up to Rs. **five thousand**.

Section 52. Collection of tax at source.

(1) Notwithstanding anything to the contrary contained in this Act, every electronic commerce operator (hereafter in this section referred to as the "operator"), not being an agent, shall collect an amount calculated at such rate not exceeding **one per cent.**, as may be notified by the Government on the recommendations of the Council, of the net value of taxable supplies made through it by other suppliers where the consideration with respect to such supplies is to be collected by the operator.

Explanation.— For the purposes of this sub-section, the expression "net value of taxable supplies" shall mean the aggregate value of taxable supplies of goods or services or both, other than services notified under sub-section (5) of section 9, made during any month by all registered persons through the operator reduced by the aggregate value of taxable supplies returned to the suppliers during the said month.

(2) The power to collect the amount specified in sub-section (1) shall be without prejudice to any other mode of recovery from the operator.

(3) The amount collected under sub-section (1) shall be paid to the Government by the operator within **ten days** after the end of the month in which such collection is made, in such manner as may be prescribed.

(4) Every operator who deducts TCS shall furnish a statement in prescribed form containing details of outward supplies through it, amount collected during a month, and other prescribed details, by the **tenth day** of the month succeeding the collection month.

(5) Every operator who collects TCS shall furnish an annual statement, in prescribed form, before **31st December** following the end of the financial year.

(6) Proper officer may serve notice to file statement within **fifteen days** if operator fails to file.

(7) Interest at rate not exceeding **eighteen per cent** payable on TCS amount not deposited.

(8) Operator who fails to collect TCS shall be liable to penalty, in addition to tax collected and interest.

(9) Any amount collected as TCS shall be deposited to the Government within **ten days** after the end of the month in which collection was made.

(10) The details of supplies furnished by every operator under sub-section (4) shall be matched with the corresponding details of outward supplies furnished by the concerned supplier.

(11)-(13) ***(Provisions for communication of discrepancies, rectification within prescribed time, and addition to output tax liability in case of non-rectification. Final acceptance on filing of annual statement.)***

Section 53. Transfer of input tax credit.

On utilisation of input tax credit availed under this Act for payment of tax dues under the Integrated Goods and Services Tax Act in accordance with the provisions of sub-section (5) of section 49, as reflected in the valid return furnished under sub-section (1) of section 39, the amount collected as central tax shall stand reduced by an amount equal to such credit so utilised and the Central Government shall transfer an amount equal to the amount so reduced from the central tax account to the integrated tax account in such manner and within such time as may be prescribed.

Section 53A. Transfer of certain amounts.

Where any amount has been transferred from the electronic cash ledger under this Act to the electronic cash ledger under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act, the Government shall, transfer to the State tax account or the Union territory tax account, an amount equal to the amount transferred from the electronic cash ledger, in such manner and within such time as may be prescribed.

CHAPTER XI — REFUNDS

Section 54. Refund of tax.

(1) Any person claiming refund of any tax and interest may make an application before the expiry of **two years** from the relevant date, in prescribed form and manner.

Proviso: Registered person making zero-rated supply may claim refund of unutilised ITC at the end of any tax period.

Proviso: No refund of unutilised ITC if goods exported out of India are subjected to export duty.

Proviso: No refund of ITC if the supplier of goods/services avails of drawback or claims refund of IGST.

(2) The application shall not be forwarded unless the applicant has filed all returns.

(3) Subject to provisos, a registered person may claim refund of unutilised ITC at the end of any tax period. Refund of unutilised ITC shall be allowed only in following cases: (a) zero-rated supplies without payment of tax; (b) accumulation of credit due to inverted duty structure (rate of tax on inputs higher than rate on output supplies), other than nil-rated or fully exempt supplies.

Proviso: No refund of unutilised ITC where goods exported out of India are subjected to export duty.

Proviso: No refund if supplier avails drawback or IGST refund on exported goods.

(4) Amount of refund of ITC under sub-section (3) shall be determined in prescribed manner.

(5) Proper officer shall refund the amount sanctioned within **sixty days** from the date of receipt of application.

Proviso: Where claim is in respect of balance in electronic cash ledger, refund shall be sanctioned under sub-section (6) within prescribed time.

(6) Proper officer shall issue order within **sixty days** from the date of receipt of application, sanctioning amount of refund due.

(7) Where proper officer is satisfied that the amount so claimed is **less than two lakh rupees**, he shall refund the same on a provisional basis in prescribed manner, subject to prescribed conditions.

(8) Refund shall be withheld if: (a) demand notice has been issued; (b) any other proceedings are pending against applicant. Shall be adjusted against any existing liability.

(9) In case of failure to sanction refund within sixty days, interest at **six per cent** per annum from the date immediately after sixty days from receipt of application till date of refund.

(10) Refund arising from order of appellate authority/tribunal/court, to be refunded within **sixty days** from date of receipt of application filed consequent to such order.

(11) Where refund is withheld under sub-section (8), interest at rate specified under section 56 shall be payable on such refund from date immediately after sixty days.

(12) Where any refund has been determined to be inadmissible, proper officer shall recover the same along with interest under section 73 or 74.

(13) No refund under sub-section (5) or (6) shall be rejected without giving applicant opportunity of being heard.

(14) Notwithstanding anything in this section, no refund under sub-section (5) or (6) shall be paid to applicant if the amount of refund is **less than one thousand rupees**.

Explanation.— "Relevant date" means: (a) for goods exported by sea/air: date on which ship/aircraft leaves India; (b) for goods exported by land: date on which goods pass the frontier; (c) for goods exported by post: date of dispatch by post office; (d) for services exported: date of receipt of payment in convertible foreign exchange or date of issue of invoice, whichever is later; (e) for unutilised ITC: due date for furnishing return under section 39 for the period in which claim arises; (f) for person other than supplier: date of receipt of goods/services; (g) for tax wrongly collected: date of payment of tax; (h) for tax paid on supply not provided (wholly/partially): date of issue of refund voucher; (i) for excess balance in electronic cash ledger: date of filing refund application; (j) in other cases: date of payment of tax.

Section 55. Refund in certain cases.

The Government may, on the recommendations of the Council, by notification, specify any specialised agency of the United Nations Organisation or any Multilateral Financial Institution and Organisation notified under the United Nations (Privileges and Immunities) Act, 1947 (46 of 1947), Consulate or Embassy of foreign countries and any other person or class of persons as may be specified in this behalf, who shall, subject to such conditions and restrictions as may be prescribed, be entitled to claim a refund of taxes paid on the notified supplies of goods or services or both received by them.

Section 56. Interest on delayed refunds.

If any tax ordered to be refunded under sub-section (5) of section 54 to any applicant is not refunded within **sixty days** from the date of receipt of application under sub-section (1) of that section, interest at such rate not exceeding **six per cent.** as may be specified in the notification issued by the Government on the recommendations of the Council shall be payable in respect of such refund for the period of delay beyond **sixty days** from the date of receipt of such application till the date of refund of such tax, to be computed in such manner and subject to such conditions and restrictions as may be prescribed:

Provided that where any claim of refund arises from an order passed by an adjudicating authority or Appellate Authority or Appellate Tribunal or court which has attained finality and the same is not refunded within **sixty days** from the date of receipt of application filed consequent to such order, interest at such rate not exceeding **nine per cent.** as may be notified by the Government on the recommendations of the Council shall be payable in respect of such refund from the date immediately after the expiry of **sixty days** from the date of receipt of application till the date of refund.

Explanation.— For the purposes of this section, where any order of refund is made by an Appellate Authority, Appellate Tribunal or by the court against an order of the proper officer under sub-section (5) of section 54, the order passed by the Appellate Authority, Appellate Tribunal or by the court shall be deemed to be an order passed under the said sub-section (5).

Section 57. Consumer Welfare Fund.

The Government shall constitute a Fund, to be called the Consumer Welfare Fund and there shall be credited to the Fund,—

(a) the amount referred to in sub-section (5) of section 54;

(b) any income from investment of the amount credited to the Fund; and

(c) such other monies received by it,

in such manner as may be prescribed.

Section 58. Utilisation of Fund.

(1) All sums credited to the Fund shall be utilised by the Government for the welfare of the consumers in such manner as may be prescribed.

(2) The Government or the authority specified by it shall maintain proper and separate account and other relevant records in relation to the Fund and prepare an annual statement of accounts in such form as may be prescribed in consultation with the Comptroller and Auditor-General of India.

CHAPTER XII — ASSESSMENT

Section 59. Self-assessment.

Every registered person shall self-assess the taxes payable under this Act and furnish a return for each tax period as specified under section 39.

Section 60. Provisional assessment.

(1) Subject to the provisions of sub-section (2), where the taxable person is unable to determine the value of goods or services or both or determine the rate of tax applicable thereto, he may request the proper officer in writing giving reasons for payment of tax on a provisional basis and the proper officer shall pass an order, within a period not later than **ninety days** from the date of receipt of such request, allowing payment of tax on provisional basis at such rate or on such value as may be specified by him.

(2) The payment of tax on provisional basis may be allowed, if the taxable person executes a bond in such form as may be prescribed, and with such surety or security as the proper officer may deem fit, binding the taxable person for payment of the difference between the amount of tax as may be finally assessed and the amount of tax provisionally assessed.

(3) The proper officer shall, within a period not exceeding **six months** from the date of the communication of the order issued under sub-section (1), pass the final assessment order after taking into account such information as may be required for finalizing the assessment:

Provided that the period specified in this sub-section may, on sufficient cause being shown and for reasons to be recorded in writing, be extended by the Joint Commissioner or Additional Commissioner for a further period not exceeding **six months** and by the Commissioner for such further period not exceeding **four years**.

(4) The registered person shall be liable to pay interest on any tax payable on the supply of goods or services or both under provisional assessment but not paid on the due date specified under sub-section (7) of section 39 or the rules made thereunder, at the rate specified under sub-section (1) of section 50, from the first day after the due date of payment of tax in respect of the said supply of goods or services or both till the date of actual payment, whether such amount is paid before or after the issuance of order for final assessment.

(5) Where the registered person is entitled to a refund consequent to the order of final assessment under sub-section (3), subject to the provisions of sub-section (8) of section 54, interest shall be paid on such refund as provided in section 56.

Section 61. Scrutiny of returns.

(1) The proper officer may scrutinize the return and related particulars furnished by the registered person to verify the correctness of the return and inform him of the discrepancies noticed, if any, in such manner as may be prescribed and seek his explanation thereto.

(2) In case the explanation is found acceptable, the registered person shall be informed accordingly and no further action shall be taken in this regard.

(3) In case no satisfactory explanation is furnished within a period of **thirty days** of being informed by the proper officer or such further period as may be permitted by him or where the registered person, after accepting the discrepancies, fails to take the corrective measure in his return for the month in which the discrepancy is accepted, the proper officer may initiate appropriate action including those under section 65 or section 66 or section 67, or proceed to determine the tax and other dues under section 73 or section 74 or section 74A.

Section 62. Assessment of non-filers of returns.

(1) Notwithstanding anything to the contrary contained in section 73 or section 74 or section 74A, where a registered person fails to furnish the return under section 39 or section 45, even after the service of a notice under section 46, the proper officer may proceed to assess the tax liability of the said person to the best of his judgment taking into account all the relevant material which is available or which he has gathered and issue an assessment order within a period of **five years** from the date specified under section 44 for furnishing of the annual return for the financial year to which the tax not paid relates.

(2) Where the registered person furnishes a valid return within **sixty days** of the service of the assessment order under sub-section (1), the said assessment order shall be deemed to have been withdrawn but the liability for payment of interest under sub-section (1) of section 50 or for payment of late fee under section 47 shall continue.

Provided that where the registered person fails to furnish a valid return within **sixty days** of the service of the assessment order under sub-section (1), he may furnish the same within a further period of **sixty days** on payment of an additional late fee of **one hundred rupees** for each day of delay beyond **sixty days** of the service of the said assessment order and in case he furnishes valid return within such extended period, the said assessment order shall be deemed to have been withdrawn, but the liability to pay interest under sub-section (1) of section 50 or to pay late fee under section 47 shall continue.

Section 63. Assessment of unregistered persons.

Notwithstanding anything to the contrary contained in section 73 or section 74 or section 74A, where a taxable person fails to obtain registration even though liable to do so or whose registration has been cancelled under sub-section (2) of section 29 but who was liable to pay tax, the proper officer may proceed to assess the tax liability of such taxable person to the best of his judgment for the relevant tax periods and issue an assessment order within a period of **five years** from the date specified under section 44 for furnishing of the annual return for the financial year to which the tax not paid relates:

Provided that no such assessment order shall be passed without giving the person an opportunity of being heard.

Section 64. Summary assessment in certain special cases.

(1) The proper officer may, on any evidence showing a tax liability of a person coming to his notice, with the previous permission of Additional Commissioner or Joint Commissioner, proceed to assess the tax liability of such person to protect the interest of revenue and issue an assessment order, if he has sufficient grounds to believe that any delay in doing so may adversely affect the interest of revenue:

Provided that where the taxable person to whom the liability pertains is not ascertainable and such liability pertains to supply of goods, the person in charge of such goods shall be deemed to be the taxable person liable to be assessed and liable to pay tax and any other amount due under this section.

(2) On an application made by the taxable person within **thirty days** from the date of receipt of order passed under sub-section (1) or on his own motion, if the Additional Commissioner or Joint Commissioner considers that such order is erroneous, he may withdraw such order and follow the procedure laid down in section 73 or section 74 or section 74A.

CHAPTER XIII — AUDIT

Section 65. Audit by tax authorities.

(1) The Commissioner or any officer authorised by him, by way of a general or a specific order, may undertake audit of any registered person for such period, at such frequency and in such manner as may be prescribed.

(2) The officers referred to in sub-section (1) may conduct audit at the place of business of the registered person or in their office.

(3) The registered person shall be informed by way of a notice not less than **fifteen working days** prior to the conduct of audit in such manner as may be prescribed.

(4) The audit under sub-section (1) shall be completed within a period of **three months** from the date of commencement of the audit:

Provided that where the Commissioner is satisfied that audit in respect of such registered person cannot be completed within **three months**, he may, for the reasons to be recorded in writing, extend the period by a further period not exceeding **six months**.

Explanation.— For the purposes of this sub-section, the expression "commencement of audit" shall mean the date on which the records and other documents, called for by the tax authorities, are made available by the registered person or the actual institution of audit at the place of business, whichever is later.

(5) During the course of audit, the authorised officer may require the registered person,—

(i) to afford him the necessary facility to verify the books of account or other documents as he may require;

(ii) to furnish such information as he may require and render assistance for timely completion of the audit.

(6) On conclusion of audit, the proper officer shall, within **thirty days**, inform the registered person, whose records are audited, about the findings, his rights and obligations and the reasons for such findings.

(7) Where the audit conducted under sub-section (1) results in detection of tax not paid or short paid or erroneously refunded, or input tax credit wrongly availed or utilised, the proper officer may initiate action under section 73 or section 74 or section 74A.

Section 66. Special audit.

(1) If at any stage of scrutiny, inquiry, investigation or any other proceedings before him, any officer not below the rank of Assistant Commissioner, having regard to the nature and complexity of the case and the interest of revenue, is of the opinion that the value has not been correctly declared or the credit availed is not within the normal limits, he may, with the prior approval of the Commissioner, direct such registered person by a communication in writing to get his records including books of account examined and audited by a chartered accountant or a cost accountant as may be nominated by the Commissioner.

(2) The chartered accountant or cost accountant so nominated shall, within the period of **ninety days**, submit a report of such audit duly signed and certified by him to the said Assistant Commissioner mentioning therein such other particulars as may be specified:

Provided that the Assistant Commissioner may, on an application made to him in this behalf by the registered person or the chartered accountant or cost accountant or for any material and sufficient reason, extend the said period by a further period of **ninety days**.

(3) The provisions of sub-section (1) shall have effect notwithstanding that the accounts of the registered person have been audited under any other provisions of this Act or any other law for the time being in force.

(4) The registered person shall be given an opportunity of being heard in respect of any material gathered on the basis of special audit under sub-section (1) which is proposed to be used in any proceedings against him under this Act or the rules made thereunder.

(5) The expenses of the examination and audit of records under sub-section (1), including the remuneration of such chartered accountant or cost accountant, shall be determined and paid by the Commissioner and such determination shall be final.

(6) Where the special audit conducted under sub-section (1) results in detection of tax not paid or short paid or erroneously refunded, or input tax credit wrongly availed or utilised, the proper officer may initiate action under section 73 or section 74 or section 74A.

CHAPTER XIV — INSPECTION, SEARCH, SEIZURE AND ARREST

Section 67. Power of inspection, search and seizure.

(1) Where the proper officer, not below the rank of Joint Commissioner, has reasons to believe that: (a) a taxable person has suppressed any transaction, or claimed excess ITC, or contravened any provision to evade tax; or (b) any person engaged in transporting goods or an owner/operator of warehouse/godown is keeping goods which escaped payment of tax or in contravention of provisions — he may authorise in writing any other officer of central tax to inspect any places of business or goods or documents/books/records.

(2) Where the proper officer, not below the rank of Joint Commissioner, has reasons to believe that goods liable to confiscation or documents/books/things relevant to proceedings are secreted in any place, he may authorise in writing any officer of central tax to **search and seize** such goods, documents or things.

Proviso: No search of residential premises without authorisation of Joint Commissioner and on the basis of a belief recorded in writing that goods/documents are secreted therein.

(3) Documents/books/things seized shall be retained only for so long as necessary for examination and inquiry.

(4) Officer seizing goods or documents shall prepare an inventory and obtain signature of the person from whose custody goods/documents are seized.

(5) Copies of seized documents shall be allowed to be taken by the person from whose custody they are seized.

(6) Where seized goods are perishable/hazardous/depreciating rapidly/constraints of storage space, officer may dispose after giving notice and hearing. Disposal proceeds held in deposit until adjudication.

(7) Where the officer has reasons to believe that any person has evaded or is attempting to evade payment of tax, he may, for reasons to be recorded in writing, seize the accounts, registers or documents of such person.

(8) Goods seized shall be released on provisional basis upon execution of bond and furnishing of security, in prescribed manner.

(9) Where material obtained during inspection is tendered as evidence, each copy shall be marked as such and the person shall be given opportunity to inspect and take copies.

(10) Seized goods to be released within **six months** of seizure. Period may be extended by Commissioner for further **six months** on order by Commissioner of CGST.

(11) Government may notify class of goods exempt from seizure.

Section 68. Inspection of goods in movement.

(1) The Government may require the person in charge of a conveyance carrying any consignment of goods of value exceeding such amount as may be specified to carry with him such documents and such devices as may be prescribed.

(2) The details of documents required to be carried under sub-section (1) shall be validated in such manner as may be prescribed.

(3) Where any conveyance referred to in sub-section (1) is intercepted by the proper officer at any place, he may require the person in charge of the said conveyance to produce the documents prescribed under the said sub-section and devices for verification, and the said person shall be liable to produce the documents and devices and also allow the inspection of goods.

Section 69. Power to arrest.

(1) Where the Commissioner has reasons to believe that a person has committed any offence specified in clause (a) or clause (b) or clause (c) or clause (d) of sub-section (1) of section 132 which is punishable under clause (i) or (ii) of sub-section (1), or sub-section (2) of the said section, he may, by order, authorise any officer of central tax to arrest such person.

(2) Where a person is arrested under sub-section (1) for an offence specified under sub-section (5) of section 132, the officer authorised to arrest the person shall inform such person of the grounds of arrest and produce him before a Magistrate within **twenty-four hours**.

(3) Subject to the provisions of the Code of Criminal Procedure, 1973 (2 of 1974),—

(a) where a person is arrested under sub-section (1) for any offence specified under sub-section (4) of section 132, he shall be admitted to bail or in default of bail, forwarded to the custody of the Magistrate;

(b) in the case of a non-cognizable and bailable offence, the Deputy Commissioner or the Assistant Commissioner shall, for the purpose of releasing an arrested person on bail or otherwise, have the same powers and be subject to the same provisions as an officer-in-charge of a police station.

Section 70. Power to summon persons to give evidence and produce documents.

(1) The proper officer under this Act shall have power to summon any person whose attendance he considers necessary either to give evidence or to produce a document or any other thing in any inquiry in the same manner, as provided in the case of a civil court under the provisions of the Code of Civil Procedure, 1908 (5 of 1908).

(1A) All persons summoned under sub-section (1) shall be bound to attend, either in person or by an authorised representative, as such officer may direct, and the person so appearing shall state the truth during examination or make statements or produce such documents and other things as may be required.

(2) Every such inquiry referred to in sub-section (1) shall be deemed to be a "judicial proceedings" within the meaning of section 193 and section 228 of the Indian Penal Code (45 of 1860).

Section 71. Access to business premises.

(1) Any officer under this Act, authorised by the proper officer not below the rank of Joint Commissioner, shall have access to any place of business of a registered person to inspect books of account, documents, computers, computer programs, computer software whether installed in a computer or otherwise and such other things as he may require and which may be available at such place, for the purposes of carrying out any audit, scrutiny, verification and checks as may be necessary to safeguard the interest of revenue.

(2) Every person in charge of place referred to in sub-section (1) shall, on demand, make available to the officer authorised under sub-section (1) or the audit party deputed by the proper officer or a cost accountant or chartered accountant nominated under section 66—

(i) such records as prepared or maintained by the registered person and declared to the proper officer in such manner as may be prescribed;

(ii) trial balance or its equivalent;

(iii) statements of annual financial accounts, duly audited, wherever required;

(iv) cost audit report, if any, under section 148 of the Companies Act, 2013 (18 of 2013);

(v) the income-tax audit report, if any, under section 44AB of the Income-tax Act, 1961 (43 of 1961); and

(vi) any other relevant record,

for the scrutiny by the officer or audit party or the chartered accountant or cost accountant within a period not exceeding **fifteen working days** from the day when such demand is made, or such further period as may be allowed by the said officer or the audit party or the chartered accountant or cost accountant.

Section 72. Officers to assist proper officers.

(1) All officers of Police, Railways, Customs, and those officers engaged in the collection of land revenue, including village officers, officers of State tax and officers of Union territory tax shall assist the proper officers in the implementation of this Act.

(2) The Government may, by notification, empower and require any other class of officers to assist the proper officers in the implementation of this Act when called upon to do so by the Commissioner.

CHAPTER XV — DEMANDS AND RECOVERY

Section 73. Determination of tax, pertaining to the period up to Financial Year 2023-24, not paid or short paid or erroneously refunded or input tax credit wrongly availed or utilised for any reason other than fraud or any wilful-misstatement or suppression of facts.

(1) Where tax not paid/short paid/erroneously refunded or ITC wrongly availed/utilised for reasons **other than fraud/wilful misstatement/suppression**, proper officer shall serve notice on the person chargeable.

(2) Notice shall be issued at least **three months** prior to time limit under sub-section (10).

(3) Person may, **before** service of notice, pay the amount of tax along with interest under section 50. In such case, no penalty payable.

(4)-(5) Statement for subsequent periods may be served in lieu of separate notice. Proper officer may issue statement for same ground for periods subsequent to notice.

(6) Person paying tax with interest within **thirty days** of notice: penalty = **no penalty**.

(7) Determination by proper officer shall be within **three years** from the due date for furnishing annual return for the relevant FY.

(8) Proper officer after considering representations, if any, shall determine amount of tax, interest and penalty.

(9) Amount of tax, interest and penalty determined under sub-section (8) shall be paid within **thirty days** of the order.

(10) Time limit for order: **three years** from due date of annual return for the relevant FY.

(11) Deemed concluded if order not issued within time limit.

Section 74. Determination of tax, pertaining to the period up to Financial Year 2023-24, not paid or short paid or erroneously refunded or input tax credit wrongly availed or utilised by reason of fraud or any wilful-misstatement or suppression of facts.

(1) Where tax not paid/short paid/erroneously refunded or ITC wrongly availed/utilised **by reason of fraud or wilful misstatement or suppression of facts**, proper officer shall serve notice on the person chargeable.

(2) Notice shall be issued at least **six months** prior to time limit under sub-section (10).

(3)-(4) Statement for subsequent periods in lieu of separate notice.

(5) Person paying tax with interest and penalty of **fifteen per cent** of tax **before** notice: deemed concluded.

(6) Person paying tax with interest and penalty of **twenty-five per cent** of tax within **thirty days** of notice: deemed concluded.

(7) Person paying tax with interest and penalty of **fifty per cent** of tax within **thirty days** of order: deemed concluded.

(8) Penalty in order: equal to the amount of tax determined (100%).

(9) Order to be passed within **five years** from due date of annual return for the relevant FY.

(10) Time limit: **five years** from due date of annual return.

(11) Deemed concluded if order not issued within time limit.

Section 74A. Determination of tax not paid or short paid or erroneously refunded or input tax credit wrongly availed or utilised for any reason pertaining to Financial Year 2024-25 onward.

(1) Where it appears to proper officer that tax has not been paid/short paid/erroneously refunded or ITC has been wrongly availed/utilised **for any reason** (whether or not involving fraud), for FY 2024-25 onward, he shall serve notice under this section specifying the tax, interest and penalty payable.

Time limit: Notice to be issued **at least six months** prior to time limit for issuance of order.

(2) Where the person pays the amount of tax as ascertained by proper officer, along with interest under section 50, **before issuance of notice**: the matter shall be deemed concluded. No penalty payable.

(3) Where the person pays the full tax along with interest within **sixty days** of issuance of notice: penalty shall be **fifteen per cent** of tax or Rs **ten thousand**, whichever is higher.

(4) Where the person pays within **sixty days** of order: penalty shall be **twenty-five per cent** of tax or Rs **twenty-five thousand**, whichever is higher.

(5) If fraud/wilful misstatement/suppression of facts established in the order: penalty shall equal the amount of tax determined.

(6) No penalty if the person proves that the non-payment/short payment was not on account of fraud/wilful misstatement/suppression.

(7) Order to be passed within the following time limits from due date of annual return: (a) where no fraud etc.: **forty-two months**; (b) where fraud etc.: **sixty months**.

(8) Where the proper officer has evidence of suppression/fraud in some cases and other reasons in other cases, separate proceedings shall be initiated.

(9) Interest under section 50 payable on any amount remaining unpaid.

(10) Deemed conclusion if order not passed within time limit.

(11) All provisions of section 75 (General provisions) apply mutatis mutandis.

Section 75. General provisions relating to determination of tax.

(1) Where notice under section 73 or 74 has been issued for any period, the proper officer may serve a statement of the tax not paid/short paid for subsequent periods, without service of separate notice.

(2) Government may prescribe the quantum and manner of pre-deposit for filing appeal against order under section 73 or 74.

(3) Where any Appellate Authority, Tribunal, or Court concludes that the notice under section 74 is unsustainable for fraud/wilful misstatement/suppression, it shall be deemed notice under section 73, if time limits under section 73 allow.

(4) Where any order is required to be issued in pursuance of direction of Appellate Authority, Tribunal, or Court, such order shall be issued within **two years** from the date of communication of the said direction.

(5) Order under section 73 or 74 shall include self-assessed tax remaining unpaid.

(6) In proceedings under section 73 or 74 or 74A, if tax has been short paid by reason of reasons specified in section 74 in some cases and for other reasons in other cases, separate proceedings shall be initiated for such different cases.

(7) The proper officer shall, in his order, set out the relevant facts and the basis of his decision.

(8) The order referred to in sub-section (7) shall be in writing.

(9) The proper officer shall, within a period of **three months** from the date of issue of the order, send a copy thereof to the person concerned.

(10) The adjudication proceedings shall be deemed to be concluded if the order is not issued within **three years** (section 73) or **five years** (section 74) from the due date of annual return for the relevant financial year.

(11) Interest on unpaid tax shall be payable irrespective of the outcome of any appeal.

(12) Notwithstanding anything contained in section 73 or 74, where any demand has been raised on a matter which has been subject to audit/investigation, the proper officer shall take into account the findings of such audit/investigation.

(13) The demand of tax shall be confirmed to the extent it is not paid by the person chargeable with tax.

Section 76. Tax collected but not paid to Government.

(1) Where any person who has collected any amount as representing tax but is not required to collect such tax, or who has collected excess tax, shall immediately pay the amount to the Government along with interest at **eighteen per cent**.

(2) No such amount to be refunded to the person who has collected it; may only be refunded to the person from whom it was collected.

(3) Proper officer may determine such amount and the person shall pay it within **fourteen days** of service of notice.

Section 77. Tax wrongfully collected and paid to Central Government or State Government.

(1) A registered person who has paid the Central tax and State tax or, as the case may be, the central tax and the Union territory tax on a transaction considered by him to be an intra-State supply, but which is subsequently held to be an inter-State supply, shall be refunded the amount of taxes so paid in such manner and subject to such conditions as may be prescribed.

(2) A registered person who has paid integrated tax on a transaction considered by him to be an inter-State supply, but which is subsequently held to be an intra-State supply, shall not be required to pay any interest on the amount of central tax and State tax or, as the case may be, the Central tax and the Union territory tax payable.

Section 78. Initiation of recovery proceedings.

Any amount payable by a taxable person in pursuance of an order passed under this Act shall be paid by such person within a period of **three months** from the date of service of such order failing which recovery proceedings shall be initiated:

Provided that where the proper officer considers it expedient in the interest of revenue, he may, for reasons to be recorded in writing, require the said taxable person to make such payment within such period less than a period of **three months** as may be specified by him.

Section 79. Recovery of tax.

Where any amount payable by a person to the Government under any provisions of this Act is not paid, the proper officer shall proceed to recover the amount by one or more of the following modes:

(a) Deduction from any money owed to such person by any other officer of the Government;

(b) Detaining and selling any goods belonging to such person (recovery through **distraint and sale** of movable/immovable property);

(c) By **garnishee order** — directing any person who owes money to, or holds money on behalf of, the defaulter to pay such money to the Government. Such person shall comply as if the money was due from the Government;

(d) Recovery through Collector of the district (as land revenue arrears);

(e) By way of **execution of a decree** — application to appropriate Magistrate for recovery as fine under CrPC/BNSS.

Proviso: Tax dues partly paid — proceedings for balance amount.

Proviso: Where person is in appeal and has paid pre-deposit — recovery stayed pending appeal.

Proviso: If officer is of opinion that acts of defaulter are detrimental to revenue — may attach provisionally, even during pendency of appeal/proceedings.

Where the defaulter is a company — persons specified in section 89 jointly/severally liable. Recovery also from any person from whom money is due to the company.

Section 80. Payment of tax and other amount in instalments.

On an application filed by a taxable person, the Commissioner may, for reasons to be recorded in writing, extend the time for payment or allow payment of any amount due under this Act, other than the amount due as per the liability self-assessed in any return, by such person in monthly instalments not exceeding **twenty four**, subject to payment of interest under section 50 and subject to such conditions and limitations as may be prescribed:

Provided that where there is default in payment of any one instalment on its due date, the whole outstanding balance payable on such date shall become due and payable forthwith and shall, without any further notice being served on the person, be liable for recovery.

Section 81. Transfer of property to be void in certain cases.

Where a person, after any amount has become due from him, creates a charge on or parts with the property belonging to him or in his possession by way of sale, mortgage, exchange, or any other mode of transfer whatsoever of any of his properties in favour of any other person with the intention of defrauding the Government revenue, such charge or transfer shall be void as against any claim in respect of any tax or any other sum payable by the said person:

Provided that, such charge or transfer shall not be void if it is made for adequate consideration, in good faith and without notice of the pendency of such proceedings under this Act or without notice of such tax or other sum payable by the said person, or with the previous permission of the proper officer.

Section 82. Tax to be first charge on property.

Notwithstanding anything to the contrary contained in any law for the time being in force, save as otherwise provided in the Insolvency and Bankruptcy Code, 2016 (31 of 2016), any amount payable by a taxable person or any other person on account of tax, interest or penalty which he is liable to pay to the Government shall be a first charge on the property of such taxable person or such person.

Section 83. Provisional attachment to protect revenue in certain cases.

(1) Where, after the initiation of any proceeding under Chapter XII, Chapter XIV or Chapter XV, the Commissioner is of the opinion that for the purpose of protecting the interest of the Government revenue it is necessary so to do, he may, by order in writing, attach provisionally, any property, including bank account, belonging to the taxable person or any person specified in sub-section (1A) of section 122, in such manner as may be prescribed.

(2) Every such provisional attachment shall cease to have effect after the expiry of a period of **one year** from the date of the order made under sub-section (1).

Section 84. Continuation and validation of certain recovery proceedings.

Where any notice of demand in respect of any tax, penalty, interest or any other amount payable under this Act, (hereafter in this section referred to as "Government dues"), is served upon any taxable person or any other person and any appeal or revision application is filed or any other proceedings is initiated in respect of such Government dues, then—

(a) where such Government dues are enhanced in such appeal, revision or other proceedings, the Commissioner shall serve upon the taxable person or any other person another notice of demand in respect of the amount by which such Government dues are enhanced and any recovery proceedings in relation to such Government dues as are covered by the notice of demand served upon him before the disposal of such appeal, revision or other proceedings may, without the service of any fresh notice of demand, be continued from the stage at which such proceedings stood immediately before such disposal;

(b) where such Government dues are reduced in such appeal, revision or in other proceedings—

(i) it shall not be necessary for the Commissioner to serve upon the taxable person a fresh notice of demand;

(ii) the Commissioner shall give intimation of such reduction to him and to the appropriate authority with whom recovery proceedings is pending;

(iii) any recovery proceedings initiated on the basis of the demand served upon him prior to the disposal of such appeal, revision or other proceedings may be continued in relation to the amount so reduced from the stage at which such proceedings stood immediately before such disposal.

CHAPTER XVI — LIABILITY TO PAY IN CERTAIN CASES

Section 85. Liability of partners of firm to pay tax.

Where any firm is liable to pay any tax/interest/penalty, every partner shall be jointly and severally liable. Where partner retires: partner and firm remain jointly and severally liable. Where firm is dissolved: every person who was partner and the legal representative of any deceased partner remain jointly and severally liable.

Section 86. Liability of agent and principal.

Where an agent supplies or receives any taxable goods on behalf of his principal, such agent and his principal shall, jointly and severally, be liable to pay the tax payable on such goods under this Act.

Section 87. Liability in case of amalgamation or merger of companies.

(1) When two or more companies are amalgamated or merged in pursuance of an order of court or of Tribunal or otherwise and the order is to take effect from a date earlier to the date of the order and any two or more of such companies have supplied or received any goods or services or both to or from each other during the period commencing on the date from which the order takes effect till the date of the order, then such transactions of supply and receipt shall be included in the turnover of supply or receipt of the respective companies and they shall be liable to pay tax accordingly.

(2) Notwithstanding anything contained in the said order, for the purposes of this Act, the said two or more companies shall be treated as distinct companies for the period up to the date of the said order and the registration certificates of the said companies shall be cancelled with effect from the date of the said order.

Section 88. Liability in case of company in liquidation.

(1) When any company is being wound up whether under the orders of a court or Tribunal or otherwise, every person appointed as receiver of any assets of a company (hereafter in this section referred to as the "liquidator"), shall, within **thirty days** after his appointment, give intimation of his appointment to the Commissioner.

(2) The Commissioner shall, after making such inquiry or calling for such information as he may deem fit, notify the liquidator within **three months** from the date on which he receives intimation of the appointment of the liquidator, the amount which in the opinion of the Commissioner would be sufficient to provide for any tax, interest or penalty which is then, or is likely thereafter to become, payable by the company.

(3) When any private company is wound up and any tax, interest or penalty determined under this Act on the company for any period, whether before or in the course of or after its liquidation, cannot be recovered, then every person who was a director of such company at any time during the period for which the tax was due shall, jointly and severally, be liable for the payment of such tax, interest or penalty, unless he proves to the satisfaction of the Commissioner that such non-recovery cannot be attributed to any gross neglect, misfeasance or breach of duty on his part in relation to the affairs of the company.

Section 89. Liability of directors of private company.

(1) Notwithstanding anything contained in the Companies Act, 2013 (18 of 2013), where any tax, interest or penalty due from a private company in respect of any supply of goods or services or both for any period cannot be recovered, then, every person who was a director of the private company during such period shall, jointly and severally, be liable for the payment of such tax, interest or penalty unless he proves that the non-recovery cannot be attributed to any gross neglect, misfeasance or breach of duty on his part in relation to the affairs of the company.

(2) Where a private company is converted into a public company and the tax, interest or penalty in respect of any supply of goods or services or both for any period during which such company was a private company cannot be recovered before such conversion, then, nothing contained in sub-section (1) shall apply to any person who was a director of such private company in relation to any tax, interest or penalty in respect of such supply of goods or services or both of such private company:

Provided that nothing contained in this sub-section shall apply to any personal penalty imposed on such director.

Section 90. Liability of partners of firm to pay tax.

Notwithstanding any contract to the contrary and any other law for the time being in force, where any firm is liable to pay any tax, interest or penalty under this Act, the firm and each of the partners of the firm shall, jointly and severally, be liable for such payment:

Provided that where any partner retires from the firm, he or the firm, shall intimate the date of retirement of the said partner to the Commissioner by a notice in that behalf in writing and such partner shall be liable to pay tax, interest or penalty due up to the date of his retirement whether determined or not, on that date:

Provided further that if no such intimation is given within **one month** from the date of retirement, the liability of such partner under the first proviso shall continue until the date on which such intimation is received by the Commissioner.

Section 91. Liability of guardians, trustees, etc.

Where the business in respect of which any tax, interest or penalty is payable under this Act is carried on by any guardian, trustee or agent of a minor or other incapacitated person on behalf of and for the benefit of such minor or other incapacitated person, the tax, interest or penalty shall be levied upon and recoverable from such guardian, trustee or agent in like manner and to the same extent as it would be determined and recoverable from any such minor or other incapacitated person, as if he were a major or capacitated person and as if he were conducting the business himself, and all the provisions of this Act or the rules made thereunder shall apply accordingly.

Section 92. Liability of Court of Wards, etc.

Where the estate or any portion of the estate of a taxable person owning a business in respect of which any tax, interest or penalty is payable under this Act is under the control of the Court of Wards, the Administrator General, the Official Trustee or any receiver or manager (including any person, whatever be his designation, who in fact manages the business) appointed by or under any order of a court, the tax, interest or penalty shall be levied upon and be recoverable from such Court of Wards, Administrator General, Official Trustee, receiver or manager in like manner and to the same extent as it would be determined and be recoverable from the taxable person as if he were conducting the business himself, and all the provisions of this Act or the rules made thereunder shall apply accordingly.

Section 93. Special provisions regarding liability to pay tax, interest or penalty in certain cases.

(1) Liability of members of AOP/BOI: where a member is also separately liable, the member and the AOP/BOI shall be jointly and severally liable.

(2) Where due to neglect/wrongful act/omission of a partner/member/karta/managing director, tax/interest/penalty cannot be recovered from firm/AOP/HUF/company: such person and the entity shall be jointly and severally liable.

CHAPTER XVII — ADVANCE RULING

Section 95. Definitions.

In this Chapter, unless the context otherwise requires,—

(a) "advance ruling" means a decision provided by the Authority or the Appellate Authority or the National Appellate Authority to an applicant on matters or on questions specified in sub-section (2) of section 97 or sub-section (1) of section 100 or of section 101C, in relation to the supply of goods or services or both being undertaken or proposed to be undertaken by the applicant;

(b) "Appellate Authority" means the Appellate Authority for Advance Ruling referred to in section 99;

(c) "applicant" means any person registered or desirous of obtaining registration under this Act;

(d) "application" means an application made to the Authority under sub-section (1) of section 97;

(e) "Authority" means the Authority for Advance Ruling referred to in section 96;

(f) "National Appellate Authority" means the National Appellate Authority for Advance Ruling referred to in section 101A.

Section 96. Authority for advance ruling.

Subject to the provisions of this Chapter, for the purposes of this Act, the Authority for advance ruling constituted under the provisions of a State Goods and Services Tax Act or Union Territory Goods and Services Tax Act shall be deemed to be the Authority for advance ruling in respect of that State or Union territory.

Section 97. Application for advance ruling.

(1) An applicant desirous of obtaining an advance ruling under this Chapter may make an application in such form and manner and accompanied by such fee as may be prescribed, stating the question on which the advance ruling is sought.

(2) The question on which the advance ruling is sought under this Act, shall be in respect of,—

(a) classification of any goods or services or both;

(b) applicability of a notification issued under the provisions of this Act;

(c) determination of time and value of supply of goods or services or both;

(d) admissibility of input tax credit of tax paid or deemed to have been paid;

(e) determination of the liability to pay tax on any goods or services or both;

(f) whether applicant is required to be registered;

(g) whether any particular thing done by the applicant with respect to any goods or services or both amounts to or results in a supply of goods or services or both, within the meaning of that term.

Section 98. Procedure on receipt of application.

(1) Authority may admit or reject application (rejection only after opportunity of hearing).

(2) Rejection where question raised is already pending/decided in proceedings under any provisions of this Act.

(3) Authority shall examine the application and pronounce advance ruling within **ninety days** of receipt, after allowing opportunity of hearing.

(4) Copy of advance ruling to be sent to the applicant, concerned officer, and jurisdictional officer.

Section 99. Appellate Authority for advance ruling.

Subject to the provisions of this Chapter, for the purposes of this Act, the Appellate Authority for Advance Ruling constituted under the provisions of a State Goods and Services Tax Act or a Union Territory Goods and Services Tax Act shall be deemed to be the Appellate Authority in respect of that State or Union territory.

Section 100. Appeal to Appellate Authority.

(1) The concerned officer, the jurisdictional officer or an applicant aggrieved by any advance ruling pronounced under sub-section (4) of section 98, may appeal to the Appellate Authority.

(2) Every appeal under this section shall be filed within a period of **thirty days** from the date on which the ruling sought to be appealed against is communicated to the concerned officer, the jurisdictional officer and the applicant:

Provided that the Appellate Authority may, if it is satisfied that the appellant was prevented by a sufficient cause from presenting the appeal within the said period of **thirty days**, allow it to be presented within a further period not exceeding **thirty days**.

(3) Every appeal under this section shall be in such form, accompanied by such fee and verified in such manner as may be prescribed.

Section 101. Orders of Appellate Authority.

(1) The Appellate Authority may, after giving the parties to the appeal or reference an opportunity of being heard, pass such order as it thinks fit, confirming or modifying the ruling appealed against or referred to.

(2) The order referred to in sub-section (1) shall be passed within a period of **ninety days** from the date of filing of the appeal under section 100 or a reference under sub-section (5) of section 98.

(3) Where the members of the Appellate Authority differ on any point or points referred to in appeal or reference, it shall be deemed that no advance ruling can be issued in respect of the question under the appeal or reference.

(4) A copy of the advance ruling pronounced by the Appellate Authority duly signed by the Members and certified in such manner as may be prescribed shall be sent to the applicant, the concerned officer, the jurisdictional officer and to the Authority after such pronouncement.

Section 101A. Constitution of National Appellate Authority for Advance Ruling.

(National Appellate Authority constituted by Central Government on recommendation of Council. Consists of a Chairperson (President or retired President of GST Appellate Tribunal or retired Judge of SC/HC) and two Technical Members (one from Centre, one from States). Jurisdiction: where conflicting advance rulings by two or more Authorities for Advance Ruling on same question.)

Section 101B. Appeal to National Appellate Authority.

(Any officer authorised by Commissioner or concerned or related applicant may appeal to National Appellate Authority within thirty days of advance ruling or appellate order. Fee: Rs. ten thousand. National Appellate Authority to pass order within ninety days of appeal filing.)

Section 101C. Orders of National Appellate Authority.

(Order of National Appellate Authority shall be binding on all applicants and concerned officers. The advance ruling in respect of which appeal was filed shall be suspended till passing of order.)

Section 103. Applicability of advance ruling.

The advance ruling pronounced by the Authority or the Appellate Authority under this Chapter shall be binding only on the applicant who had sought it and on the concerned officer or the jurisdictional officer in respect of the applicant, unless the law, facts or circumstances supporting the said advance ruling have changed.

Section 104. Advance ruling to be void in certain circumstances.

Where the Authority or the Appellate Authority finds that advance ruling was obtained by fraud or misrepresentation of facts, it may declare such ruling to be void ab initio, after opportunity of hearing. Tax and interest shall be payable as if advance ruling had never been made.

Section 105. Powers of Authority and Appellate Authority.

The Authority and the Appellate Authority shall have powers of a civil court under CPC for: summoning and enforcing attendance, discovery and production of documents, receiving evidence on affidavit, examination of witnesses, and requisitioning any public record.

Section 106. Procedure of Authority, Appellate Authority and National Appellate Authority.

The Authority, Appellate Authority and National Appellate Authority shall, subject to this Act, have power to regulate their own procedure.

CHAPTER XVIII — APPEALS AND REVISION

Section 107. Appeals to Appellate Authority.

(1) Any person aggrieved by a decision or order of an adjudicating authority may appeal to the Appellate Authority within **three months** from the date of communication of such decision or order.

Proviso: Commissioner may, on own motion or on request, call for and examine the record of such adjudicating authority and may direct any officer subordinate to him to apply to Appellate Authority within **six months** from the date of communication of the said decision or order.

(2) Commissioner of SGST/UTGST tax may also refer decision/order to relevant Appellate Authority within **six months**.

(3) Fee for filing appeal: as may be prescribed.

(4) Appellate Authority may allow further period of **one month** for filing appeal (beyond 3-month period), if satisfied of sufficient cause.

(5) The Appellate Authority may admit further appeals against orders passed on or before **31st March, 2023** within a period of **three months** from a date to be notified.

(6) Pre-deposit: Full amount of tax, interest, fine, and fee ***admitted*** by the appellant, plus further **ten per cent** of remaining tax in dispute arising from the impugned order, for admission of appeal.

Proviso: Pre-deposit shall not exceed **twenty-five crore rupees**.

(7) Where appellant has paid pre-deposit, recovery of remaining amount shall be stayed.

(8) Appellate Authority may confirm, modify or annul the decision or order appealed against; may also refer the case back to the adjudicating authority with directions. Cannot refer back more than once.

(9) Order of Appellate Authority to dispose of the appeal within **one year** from date of filing.

(10) Appellate Authority shall not take up additional issues not raised before adjudicating authority, unless satisfied that the omission was not wilful or unreasonable.

(11) Order shall state the points for determination, the decision thereon, and the reasons for the decision.

(12) Copy of order to be sent to appellant and jurisdictional Commissioner.

(13) Order disposing of appeal shall be in writing.

Section 108. Powers of Revisional Authority.

(1) The Revisional Authority may, on his own motion, or upon information received by him or on request from Commissioner of SGST/UTGST, call for and examine the record of any proceedings and pass appropriate orders including enhancement, modification, annulment of any order passed by his subordinate officer, if he considers such order to be erroneous insofar as it is prejudicial to the interest of revenue.

Key conditions: (a) not applicable to orders already under appeal/revision; (b) not applicable to orders already subject to directions of Appellate Authority/Tribunal/Court; (c) opportunity of being heard must be given.

(2) Revisional Authority shall not revise any order if: (a) the time allowed for appeal has not expired; or (b) the order has been subject to appeal/revision. Also shall not revise any order if more than **three years** have expired from the date of the order.

(3) Revisional Authority must pass order within **three years** from date of the order sought to be revised. Every order shall be accompanied by reasons.

Section 109. Constitution of Appellate Tribunal and Benches thereof.

(1) The Government shall, on the recommendations of the Council, constitute, with effect from such date as the Government may notify, an Appellate Tribunal known as the

Goods and Services Tax Appellate Tribunal for hearing appeals against orders of the Appellate Authority or Revisional Authority.

(2) The Government shall, on the recommendations of the Council, by notification, establish the Principal Bench and State Benches of the Appellate Tribunal.

(3) The Principal Bench shall be situated at New Delhi, consisting of the President, a Judicial Member, a Technical Member (Centre) and a Technical Member (State).

(4) The Government may, on the recommendations of the Council, constitute such number of Benches as may be required. Each State shall have at least one State Bench.

(5) Each State Bench shall consist of one Judicial Member, one Technical Member (Centre) and one Technical Member (State).

(6) The President may transfer a Member from one Bench to another on need basis.

(7) A State Bench shall exercise jurisdiction over the State/UT in which it is located.

(8) The Principal Bench shall hear appeals where one of the issues involves place of supply.

(9) Minimum two members needed for valid disposal. Cases involving tax/ITC exceeding **fifty lakh rupees** or questions of law require minimum three Members including one Judicial Member.

Section 110. President and Members of Appellate Tribunal, their qualification, appointment, conditions of service, etc.

(1) Qualification for appointment —

(a) President — has been a Judge of the Supreme Court or is/has been Chief Justice of a High Court;

(b) Judicial Member — has been a Judge of the High Court; or has for **ten years** been a District Judge/Additional District Judge; or has been an advocate for **ten years** with substantial experience in indirect tax litigation;

(c) Technical Member (Centre) — is/has been a member of Indian Revenue (Customs and Indirect Taxes) Service, Group A, with at least **three years** experience in administration of existing law or GST, and has completed at least **twenty-five years** of service in Group A;

(d) Technical Member (State) — is/has been an officer of State Government or All India Service, not below rank of Additional Commissioner of VAT/SGST, with **twenty-five years** of service in Group A with at least **three years** experience in existing law/GST/finance and taxation.

Minimum age for appointment as President or Member: **fifty years**.

(2) Appointment by Government on recommendations of Search-cum-Selection Committee under sub-section (4).

(3) Preference for Technical Member (State): officers who have worked in the concerned State Government.

(4) Search-cum-Selection Committee composition — (a) for Technical Member (State) of State Bench: Chief Justice of jurisdictional HC (Chairperson), senior-most Judicial Member/retired HC Judge, Chief Secretary, one Additional Chief Secretary/Principal Secretary, and Secretary of State tax department (Member Secretary); (b) for all other cases: CJI or nominated SC Judge (Chairperson), Secretary nominated by Cabinet Secretary, Secretary of Revenue Department, Chairperson of CBIC, and one member nominated by a State Government (by rotation).

(5) Quorum: Chairperson plus minimum two members.

(6) Term: **four years** or until age **sixty-seven years** (President) / **sixty-five years** (Members), whichever is earlier. Eligible for re-appointment.

(7) President and Members not eligible for appointment in Central/State Government after cessation (exceptions: re-appointment as President/Member, or appointment as Judge of HC/SC).

(8) Salary/allowances: as prescribed; not to be varied to disadvantage after appointment.

(9) President/Member may resign by notice to Government; remains in office until expiry of **three months** from notice date or until a successor is appointed, or until the expiry of the term, whichever is earliest.

(10) Removal: President/Member may be removed by Government on recommendation of Search-cum-Selection Committee on grounds of proved misbehaviour, incapacity, abuse of position, or acting prejudicially to the Government. SC Judge-level inquiry required.

(11) No removal without opportunity of being heard.

(12) An Appellate Tribunal member ceasing to hold office shall not appear before the same Appellate Tribunal.

Section 111. Procedure before Appellate Tribunal.

(1) Tribunal not bound by CPC procedure; shall be guided by principles of natural justice; power to regulate own procedure.

(2) Tribunal shall have powers of a civil court for: summoning/enforcing attendance, discovery/production of documents, receiving evidence on affidavit, requisitioning records, issuing commissions.

(3) Order of Tribunal may be amended to rectify error apparent on face of record within **three months** from date of order, on application or on its own motion.

(4) Tribunal shall send copy of every order to Appellate Authority/Revisional Authority, appellant, jurisdictional Commissioner, Commissioner of SGST/UTGST.

Section 112. Appeals to Appellate Tribunal.

(1) Any person aggrieved by an order of the Appellate Authority or the Revisional Authority may appeal to the Appellate Tribunal within **three months** from the date of communication of the order. Commissioner may appeal within **six months**.

(2) Appeal not filed within specified period may be admitted by Tribunal if delay does not exceed **three months**, on being satisfied of sufficient cause.

(3) For appeals to the State Bench: pre-deposit of **twenty-five per cent** of penalty ordered, where penalty alone is in dispute. For other cases: full amount of tax, interest, fine, and fee admitted by appellant and further **ten per cent** of remaining tax in dispute (not exceeding **twenty-five crore rupees**).

For appeals to the Principal Bench: full admitted tax/interest/fine/fee and further **ten per cent** of remaining tax in dispute (not exceeding **fifty crore rupees**).

(4) Pre-deposit amount determined shall not exceed **twenty-five crore rupees** (State Bench) and **fifty crore rupees** (Principal Bench).

(5) On payment of pre-deposit, remaining disputed amount stays.

(6) Appeal fee: **one thousand rupees** (State Bench), **five thousand rupees** (Principal Bench), **ten thousand rupees** (appeals by certain officers).

(7) Tribunal to pass order within **one year** from date of filing.

(8) Copy of order to both Commissioner and concerned person.

(9) Provisions of section 112 shall apply for orders passed under SGST/UTGST Acts.

Section 113. Orders of Appellate Tribunal.

(1) The Appellate Tribunal may, after giving the parties to the appeal an opportunity of being heard, pass such orders thereon as it thinks fit, confirming, modifying or annulling the decision or order appealed against or may refer the case back to the Appellate Authority, or the Revisional Authority or to the original adjudicating authority, with such directions as it may think fit, for a fresh adjudication or decision after taking additional evidence, if necessary.

(2) The Appellate Tribunal may, if sufficient cause is shown, at any stage of hearing of an appeal, grant time to the parties or any of them and adjourn the hearing of the appeal for reasons to be recorded in writing:

Provided that no such adjournment shall be granted more than **three times** to a party during hearing of the appeal.

(3) The Appellate Tribunal may amend any order passed by it under sub-section (1) so as to rectify any error apparent on the face of the record, if such error is noticed by it on its own accord, or is brought to its notice by the Commissioner or the Commissioner of State tax or the Commissioner of the Union territory tax or the other party to the appeal within a period of **three months** from the date of the order:

Provided that no amendment which has the effect of enhancing an assessment or reducing a refund or input tax credit or otherwise increasing the liability of the other party, shall be made under this sub-section, unless the party has been given an opportunity of being heard.

(4) The Appellate Tribunal shall, as far as possible, hear and decide every appeal within a period of **one year** from the date on which it is filed.

(5) The Appellate Tribunal shall send a copy of every order passed under this section to the Appellate Authority or the Revisional Authority, or the original adjudicating authority, as the case may be, the appellant and the jurisdictional Commissioner or the Commissioner of State tax or the Union territory tax.

(6) Save as provided in section 117 or section 118, orders passed by the Appellate Tribunal on an appeal shall be final and binding on the parties.

Section 114. Financial and administrative powers of President.

The President shall exercise such financial and administrative powers over the Appellate Tribunal as may be prescribed.

Section 115. Interest on refund of amount paid for admission of appeal.

Where an amount paid by the appellant under sub-section (6) of section 107 or sub-section (8) of section 112 is required to be refunded consequent to any order of the Appellate Authority or of the Appellate Tribunal, interest at the rate specified under section 56 shall be payable in respect of such refund from the date of payment of the amount till the date of refund of such amount.

Section 116. Appearance by authorised representative.

(1) Any person who is entitled to or required to appear before an officer, Appellate Authority, or Appellate Tribunal may appear through an authorised representative.

(2) "Authorised representative" means: (a) his relative or regular employee; (b) advocate entitled to practise; (c) CA, Cost Accountant, or Company Secretary; (d) retired officer of CGST/SGST department (after one year of retirement); (e) any person prescribed by Government.

(3) Disqualification: No person convicted of an offence, found guilty of misconduct by professional body, dismissed/removed from Government service, or adjudged insolvent shall be eligible as authorised representative.

Section 117. Appeal to High Court.

(1) Any person aggrieved by any order passed by the State Benches of the Appellate Tribunal may file an appeal to the High Court and the High Court may admit such appeal, if it is satisfied that the case involves a substantial question of law.

(2) An appeal under sub-section (1) shall be filed within a period of **one hundred and eighty days** from the date on which the order appealed against is received by the aggrieved person and it shall be in such form, verified in such manner as may be prescribed:

Provided that the High Court may entertain an appeal after the expiry of the said period if it is satisfied that there was sufficient cause for not filing it within such period.

(3)–(9) ***(Sub-sections (3) through (9) contain detailed procedural provisions for formulation of substantial questions of law, bench composition of not less than two Judges, majority decision rules, certified copy enforcement, and applicability of CPC provisions relating to High Court appeals.)***

Section 118. Appeal to Supreme Court.

(1) An appeal shall lie to the Supreme Court—

(a) from any order passed by the Principal Bench of the Appellate Tribunal; or

(b) from any judgment or order passed by the High Court in an appeal made under section 117 in any case which, on its own motion or on an application made by or on behalf of the party aggrieved, immediately after passing of the judgment or order, the High Court certifies to be a fit one for appeal to the Supreme Court.

(2) The provisions of the Code of Civil Procedure, 1908 (5 of 1908), relating to appeals to the Supreme Court shall, so far as may be, apply in the case of appeals under this section as they apply in the case of appeals from decrees of a High Court.

(3) Where the judgment of the High Court is varied or reversed in the appeal, effect shall be given to the order of the Supreme Court in the manner provided in section 117 in the case of a judgment of the High Court.

Section 119. Sums due to be paid notwithstanding appeal, etc.

Notwithstanding that an appeal has been preferred to the High Court or the Supreme Court, sums due to the Government as a result of an order passed by the Principal Bench of the Appellate Tribunal under sub-section (1) of section 113 or an order passed by the State Benches of the Appellate Tribunal under sub-section (1) of section 113 or an order passed by the High Court under section 117, as the case may be, shall be payable in accordance with the order so passed.

Section 120. Appeal not to be filed in certain cases.

(1) The Board may, on the recommendations of the Council, from time to time, issue orders or instructions or directions fixing such monetary limits, as it may deem fit, for the purposes of regulating the filing of appeal or application by the officer of the central tax under the provisions of this Chapter.

(2) Where, in pursuance of the orders or instructions or directions issued under sub-section (1), the officer of the central tax has not filed an appeal or application against any decision or order passed under the provisions of this Act, it shall not preclude such officer of the central tax from filing appeal or application in any other case involving the same or similar issues or questions of law.

(3) Notwithstanding the fact that no appeal or application has been filed by the officer of the central tax pursuant to the orders or instructions or directions issued under sub-section (1), no person, being a party in appeal or application shall contend that the officer of the central tax has acquiesced in the decision on the disputed issue by not filing an appeal or application.

(4) The Appellate Tribunal or court hearing such appeal or application shall have regard to the circumstances under which appeal or application was not filed by the officer of the central tax in pursuance of the orders or instructions or directions issued under sub-section (1).

Section 121. Non-appealable decisions and orders.

Notwithstanding anything to the contrary in any provisions of this Act, no appeal shall lie against any decision taken or order passed by an officer of central tax if such decision taken or order passed relates to any one or more of the following matters, namely:—

(a) an order of the Commissioner or other authority empowered to direct transfer of proceedings from one officer to another officer; or

(b) an order pertaining to the seizure or retention of books of account, register and other documents; or

(c) an order sanctioning prosecution under this Act; or

(d) an order passed under section 80.

CHAPTER XIX — OFFENCES AND PENALTIES

Section 122. Penalty for certain offences.

(1) Where a taxable person who: (i) supplies without invoice or issues incorrect/false invoice; (ii) issues invoice without supply of goods/services; (iii) collects tax in contravention of provisions (not being registered); (iv) collects tax but fails to pay within **three months**; (v) fails to deduct/collect tax (TDS/TCS) or deducts/collects but fails to pay; (vi) takes/distributes ITC in contravention; (vii) is liable for registration but fails to obtain; (viii) furnishes false information regarding registration; (ix) obstructs/prevents officer in discharge of duties; (x) transports taxable goods without documents; (xi) suppresses turnover leading to tax evasion; (xii) fails to keep/maintain/retain books/records; (xiii) fails to furnish information/return required; (xiv) supplies/transports/stores goods liable to confiscation; (xv) issues invoice using another person's GSTIN; (xvi) tampers with or destroys material evidence; (xvii) disposes of/tampers with detained/seized/attached goods —

shall be liable to a penalty of **ten thousand rupees** or an amount equivalent to the tax evaded or ITC wrongly availed/utilised, whichever is **higher**.

(1A) Any person who retains the benefit of a transaction covered under clauses (i), (ii), (vii), (ix) of sub-section (1) and at whose instance such transaction is conducted, shall be liable to penalty.

(1B) Any person who: (a) aids or abets any of the offences in sub-section (1); (b) acquires/receives/deals with goods/services knowing they are liable to confiscation; (c) fails to appear before officer when summoned; (d) fails to issue invoice or fails to account for goods/services received — shall be liable to penalty up to **twenty-five thousand rupees**.

(2) Any registered person who supplies goods/services on which tax has not been paid or short paid or erroneously refunded, or ITC wrongly availed/utilised for any reason other than fraud/wilful misstatement: penalty not exceeding **ten thousand rupees** or **ten per cent** of tax due, whichever is higher.

(3) Any registered person who supplies goods/services on which tax has not been paid or short paid or erroneously refunded, or ITC wrongly availed/utilised by reason of fraud/wilful misstatement/suppression: penalty equal to **ten thousand rupees** or **100%** of tax due, whichever is higher.

Section 122A. Penalty for failure to register certain machines used in manufacture of goods as per special procedure.

(1) Notwithstanding anything contained in this Act, where any person, who is engaged in the manufacture of goods in respect of which any special procedure relating to registration of machines has been notified under section 148, acts in contravention of the said special procedure, he shall, in addition to any penalty that is paid or is payable by him under Chapter XV or any other provisions of this Chapter, be liable to pay a penalty equal to an amount of **one lakh rupees** for every machine not so registered.

(2) In addition to the penalty under sub-section (1), every machine not so registered shall be liable for seizure and confiscation:

Provided that such machine shall not be confiscated where—

(a) the penalty so imposed is paid; and

(b) the registration of such machine is made in accordance with the special procedure within **three days** of the receipt of communication of the order of penalty.

Section 123. Penalty for failure to furnish information return.

If a person who is required to furnish an information return under section 150 fails to do so within the period specified in the notice issued under sub-section (3) thereof, the proper officer may direct that such person shall be liable to pay a penalty of **one hundred rupees** for each day of the period during which the failure to furnish such return continues:

Provided that the penalty imposed under this section shall not exceed **five thousand rupees**.

Section 124. Fine for failure to furnish statistics.

If any person required to furnish any information or return under section 151,—

(a) without reasonable cause fails to furnish such information or return as may be required under that section, or

(b) wilfully furnishes or causes to furnish any information or return which he knows to be false, he shall be punishable with a fine which may extend to **ten thousand rupees** and in case of a continuing offence to a further fine which may extend to **one hundred rupees** for each day after the first day during which the offence continues subject to a maximum limit of **twenty-five thousand rupees**.

Section 125. General penalty.

Any person, who contravenes any of the provisions of this Act or any rules made thereunder for which no penalty is separately provided for in this Act, shall be liable to a penalty which may extend to **twenty-five thousand rupees**.

Section 126. General disciplines related to penalty.

(1) No officer under this Act shall impose any penalty for minor breaches of tax regulations or procedural requirements and in particular, any omission or mistake in documentation which is easily rectifiable and made without fraudulent intent or gross negligence.

Explanation.— For the purpose of this sub-section,—

(a) a breach shall be considered a 'minor breach' if the amount of tax involved is less than **five thousand rupees**;

(b) an omission or mistake in documentation shall be considered to be easily rectifiable if the same is an error apparent on the face of record.

(2) The penalty imposed under this Act shall depend on the facts and circumstances of each case and shall be commensurate with the degree and severity of the breach.

(3) No penalty shall be imposed on any person without giving him an opportunity of being heard.

(4) The officer under this Act shall while imposing penalty in an order for a breach of any law, regulation or procedural requirement, specify the nature of the breach and the applicable law, regulation or procedure under which the amount of penalty for the breach has been specified.

(5) When a person voluntarily discloses to an officer under this Act the circumstances of a breach of the tax law, regulation or procedural requirement prior to the discovery of the breach by the officer under this Act, the proper officer may consider this fact as a mitigating factor when quantifying a penalty for that person.

(6) The provisions of this section shall not apply in such cases where the penalty specified under this Act is either a fixed sum or expressed as a fixed percentage.

Section 127. Power to impose penalty in certain cases.

Where the proper officer is of the view that a person is liable to a penalty and the same is not covered under any proceedings under section 62 or section 63 or section 64 or section 73 or section 74 or section 74A or section 129 or section 130, he may issue an order levying such penalty after giving a reasonable opportunity of being heard to such person.

Section 128. Power to waive penalty or fee or both.

The Government may, by notification, waive in part or full, any penalty referred to in section 122 or section 123 or section 125 or any late fee referred to in section 47 for such class of taxpayers and under such mitigating circumstances as may be specified therein on the recommendations of the Council.

Section 128A. Waiver of interest or penalty or both relating to demands raised under section 73, for certain tax periods.

(1) Notwithstanding anything in section 73 or 107 or 108, where notice has been issued under section 73 for any period from **1st July 2017 to 31st March 2020**, and where the person pays full tax demanded in the order under section 73(9) or 73(10), by a date to be notified, then interest and penalty payable shall stand waived.

(2) Where an appeal has been filed under section 107 against order under section 73(9), and the person withdraws appeal and pays full tax demanded, interest and penalty shall be waived.

(3) Where Revisional Authority has passed order under section 108 against order under section 73, and person pays the full tax demanded, interest and penalty shall be waived.

(4) All proceedings and consequences consequent to waiver shall be deemed concluded.

(5) No refund of any amount paid before the waiver provisions came into effect.

(6) Government to notify the date by which payment must be made and other conditions.

Section 129. Detention, seizure and release of goods and conveyances in transit.

(1) Where any person transports/stores goods while in transit in contravention of the provisions (e.g., without documents or e-way bill, or with intent to evade), all such goods and conveyance shall be liable to **detention or seizure**.

(1A) Proper officer detaining/seizing goods shall issue notice within **seven days** of detention/seizure, specifying the penalty payable.

(1B) Where the owner comes forward for payment: penalty equal to **200% of tax payable** (fraud/wilful misstatement/suppression) or **equivalent to tax payable** (other cases).

(1C) Where owner does not come forward: goods treated as liable to confiscation and fine/penalty under section 130.

(2) Detained goods to be released on payment of applicable tax and penalty.

(3) Release may also be on provisional basis on furnishing of security equivalent to the amount payable under sub-section (1B).

(4) No tax/interest/penalty payable on transit of exempted goods.

(5) On payment of amount, all proceedings against the person shall be deemed to be concluded.

(6) Where the person fails to pay within a period of **seven days** from the date of receipt of notice, further proceedings for confiscation under section 130.

Section 130. Confiscation of goods or conveyances and levy of penalty.

(1) Goods or conveyance shall be liable to confiscation where: (a) goods supplied/received in contravention with intent to evade tax; (b) goods unaccounted for (excess over quantity stated in invoice/documents); (c) goods/conveyances used to contravene provisions; (d) goods detained under section 129, where owner fails to pay tax/penalty within prescribed time; (e) goods stored/kept without proper invoices/records.

(2) Proper officer adjudicating confiscation shall give option to pay fine in lieu of confiscation (fine shall not be less than the amount of penalty leviable under sub-section (1B) of section 129 and not exceed market value of goods).

(3) Conveyance used for carriage of goods or passengers for hire: not confiscated unless owner had knowledge.

(4) Penalty: proper officer may impose penalty not exceeding value of goods or conveyance.

(5) Title in confiscated goods vests in Government.

(6) No order of confiscation or penalty without show cause notice and opportunity of being heard.

Section 131. Confiscation or penalty not to interfere with other punishments.

Without prejudice to the provisions contained in the Code of Criminal Procedure, 1973 (2 of 1974), no confiscation made or penalty imposed under the provisions of this Act or the rules made thereunder shall prevent the infliction of any other punishment to which the person affected thereby is liable under the provisions of this Act or under any other law for the time being in force.

Section 132. Punishment for certain offences.

(1) Whoever commits any of the following offences shall be punishable: (a) supplies goods/services without invoice or with false invoice; (b) issues invoice without supply to wrongly avail/utilise ITC or claim refund; (c) avails ITC using invoice of non-existent supplier or without receipt of goods/services; (d) collects tax but fails to pay to Government beyond **three months** from due date; (e) evades tax, fraudulently obtains refund, or avails ITC by fraud/suppression/misrepresentation; (f) falsifies financial records or produces fake accounts/documents; (g) obstructs or prevents any officer in discharge of duties; (h) deals with goods liable to confiscation; (i) receives/deals in supply of services in contravention of provisions; (j) tampers with or destroys material evidence; (k) fails to supply information or supplies false information required under the Act; (l) attempts to commit or abets commission of any of the above offences.

(1A) Whoever commits offence of issuing invoice without supply, resulting in wrongful availment/utilisation of ITC or refund: punishable as if committed under clause (b) of sub-section (1).

(2) Punishment for offences under clauses (a)-(d) and (1A): - Tax evaded/ITC/refund involved exceeding **five crore rupees**: imprisonment up to **five years** and fine; - Tax evaded/ITC/refund involved between **two crore** and **five crore rupees**: imprisonment up to **three years** and fine; - Tax evaded/ITC/refund involved between **one crore** and **two crore rupees**: imprisonment up to **one year** and fine.

(3) Where any person convicted of offence under this section is again convicted, imprisonment may extend to **five years** and fine.

(4) Offence under clauses (a), (b), (c), (d) of sub-section (1) and sub-section (1A) (where amount exceeds **five crore rupees**) is **cognizable and non-bailable**.

(5) All other offences are **non-cognizable and bailable**.

(6) Person shall not be prosecuted for offence under this section except with previous sanction of Commissioner.

Section 133. Liability of officers and certain other persons.

(1) Where any person engaged in connection with the collection of statistics under section 151 or compilation or computerisation thereof or if any officer of central tax having access to information specified under sub-section (1) of section 150, or if any person engaged in connection with the provision of service on the common portal or the agent of common portal, wilfully discloses any information or the contents of any return furnished under this Act or rules made thereunder otherwise than in execution of his duties under the said sections or for the purposes of prosecution for an offence under this Act or under any other Act for the time being in force, he shall be punishable with imprisonment for a term which may extend to **six months** or with fine which may extend to **twenty-five thousand rupees**, or with both.

(2) Any person—

(a) who is a Government servant shall not be prosecuted for any offence under this section except with the previous sanction of the Government;

(b) who is not a Government servant shall not be prosecuted for any offence under this section except with the previous sanction of the Commissioner.

Section 134. Cognizance of offences.

No court shall take cognizance of any offence punishable under this Act or the rules made thereunder except with the previous sanction of the Commissioner, and no court inferior to that of a Magistrate of the First Class, shall try any such offence.

Section 135. Presumption of culpable mental state.

In any prosecution for an offence under this Act which requires a culpable mental state on the part of the accused, the court shall presume the existence of such mental state but it shall be a defence for the accused to prove the fact that he had no such mental state with respect to the act charged as an offence in that prosecution.

Explanation.— For the purposes of this section,—

(i) the expression "culpable mental state" includes intention, motive, knowledge of a fact, and belief in, or reason to believe, a fact;

(ii) a fact is said to be proved only when the court believes it to exist beyond reasonable doubt and not merely when its existence is established by a preponderance of probability.

Section 136. Relevancy of statements under certain circumstances.

A statement made and signed by a person on appearance in response to any summons issued under section 70 during the course of any inquiry or proceedings under this Act shall be relevant, for the purpose of proving, in any prosecution for an offence under this Act, the truth of the facts which it contains,—

(a) when the person who made the statement is dead or cannot be found, or is incapable of giving evidence, or is kept out of the way by the adverse party, or whose presence cannot be obtained without an amount of delay or expense which, under the circumstances of the case, the court considers unreasonable; or

(b) when the person who made the statement is examined as a witness in the case before the court and the court is of the opinion that, having regard to the circumstances of the case, the statement should be admitted in evidence in the interest of justice.

Section 137. Offences by companies.

(1) Where an offence committed by a person under this Act is a company, every person who, at the time the offence was committed was in charge of, and was responsible to, the company for the conduct of business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly.

(2) Notwithstanding anything contained in sub-section (1), where an offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any negligence on the part of, any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

(3) Where an offence under this Act has been committed by a taxable person being a partnership firm or a Limited Liability Partnership or a Hindu Undivided Family or a trust, the partner or karta or managing trustee shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly and the provisions of sub-section (2) shall, mutatis mutandis, apply to such persons.

(4) Nothing contained in this section shall render any such person liable to any punishment provided in this Act, if he proves that the offence was committed without his knowledge or that he had exercised all due diligence to prevent the commission of such offence.

Explanation.— For the purposes of this section,—

(i) "company" means a body corporate and includes a firm or other association of individuals; and

(ii) "director", in relation to a firm, means a partner in the firm.

Section 138. Compounding of offences.

(1) Any offence under this Act may, either before or after the institution of prosecution, be compounded by the Commissioner on payment, by the person accused of the offence, to the Central Government or the State Government, as the case may be, of such compounding amount in such manner as may be prescribed:

Provided that nothing contained in this section shall apply to—

(a) a person who has been allowed to compound once in respect of any of the offences specified in clauses (a) to (f), (h), (i) and (l) of sub-section (1) of section 132;

(c) a person who has been accused of committing an offence under clause (b) of sub-section (1) of section 132;

(d) a person who has been convicted for an offence under this Act by a court;

(f) any other class of persons or offences as may be prescribed:

Provided further that any compounding allowed under the provisions of this section shall not affect the proceedings, if any, instituted under any other law:

Provided also that compounding shall be allowed only after making payment of tax, interest and penalty involved in such offences.

(2) The amount for compounding of offences under this section shall be such as may be prescribed, subject to the minimum amount not being less than **twenty-five per cent.** of the tax involved and the maximum amount not being more than **one hundred per cent.** of the tax involved.

(3) On payment of such compounding amount as may be determined by the Commissioner, no further proceedings shall be initiated under this Act against the accused person in respect of the same offence and any criminal proceedings, if already initiated in respect of the said offence, shall stand abated.

CHAPTER XX — TRANSITIONAL PROVISIONS

Sections 139–142. ***(Transitional Provisions — Migration of existing taxpayers, transitional arrangements for ITC, transitional provisions relating to job work, and miscellaneous transitional provisions. These provisions dealt with the migration from pre-GST regime to GST regime w.e.f. 1st July, 2017 and are largely historical/spent.)***

CHAPTER XXI — MISCELLANEOUS

Section 143. Job work procedure.

(1) Principal may send inputs or capital goods to job worker without payment of tax. Must bring back: - Inputs: within **one year** - Capital goods (other than moulds/dies/jigs/fixtures/tools): within **three years**

Or supply from job worker's premises on payment of tax (within same time limits). Principal must declare job worker's premises as additional place of business unless job worker is registered or goods are notified.

(2) Responsibility for accounts lies with principal.

(3) Inputs not returned within **one year**: deemed supplied by principal to job worker on the day sent.

(4) Capital goods not returned within **three years**: deemed supplied by principal to job worker on the day sent.

(5) Waste and scrap from job work may be supplied directly by job worker (if registered) or by principal (if job worker not registered), on payment of tax.

Explanation.— Input includes intermediate goods arising from treatment/process on inputs by principal or job worker.

Section 144. Presumption as to documents in certain cases.

(This section provides for presumption of truth of contents of documents produced, seized, or received from outside India during prosecution proceedings.)

Section 145. Admissibility of micro films, facsimile copies of documents and computer printouts as documents and as evidence.

(This section provides that micro films, facsimile copies, computer printouts, and electronically stored information shall be deemed documents admissible in evidence without further proof.)

Section 146. Common Portal.

The Government may, on the recommendations of the Council, notify the Common Goods and Services Tax Electronic Portal for facilitating registration, payment of tax, furnishing of returns, computation and settlement of integrated tax, electronic way bill and for carrying out such other functions and for such purposes as may be prescribed.

Section 147. Deemed exports.

The Government may, on the recommendations of the Council, notify certain supplies of goods as deemed exports, where goods supplied do not leave India, and payment for such supplies is received either in Indian rupees or in convertible foreign exchange, if such goods are manufactured in India.

Section 148. Special procedure for certain processes.

The Government may, on the recommendations of the Council, and subject to such conditions and safeguards as may be prescribed, notify certain classes of registered persons, and the special procedures to be followed by such persons including those with regard to registration, furnishing of return, payment of tax and administration of such persons.

Section 149. Goods and services tax compliance rating.

(This section provides for assignment and periodic updating of GST compliance rating scores to registered persons based on prescribed parameters.)

Section 150. Obligation to furnish information return.

(This section lists 16 categories of persons — including taxable persons, local authorities, income-tax authorities, banking companies, electricity boards, registrars, stock exchanges, depositories, RBI, GSTN, and others — who are obligated to furnish information returns.)

Section 151. Power to call for information.

The Commissioner or an officer authorised by him may, by an order, direct any person to furnish information relating to any matter dealt with in connection with this Act, within such time, in such form, and in such manner, as may be specified therein.

Section 152. Bar on disclosure of information.

(This section bars disclosure of information furnished under sections 150 or 151 without prior written consent of the concerned person, subject to hearing rights. Sub-section (2) was omitted by Act 13 of 2021.)

Section 153. Taking assistance from an expert.

Any officer not below the rank of Assistant Commissioner may, having regard to the nature and complexity of the case and the interest of revenue, take assistance of any expert at any stage of scrutiny, inquiry, investigation or any other proceedings before him.

Section 154. Power to take samples.

The Commissioner or an officer authorised by him may take samples of goods from the possession of any taxable person, where he considers it necessary, and provide a receipt for any samples so taken.

Section 155. Burden of proof.

Where any person claims that he is eligible for input tax credit under this Act, the burden of proving such claim shall lie on such person.

Section 156. Persons deemed to be public servants.

All persons discharging functions under this Act shall be deemed to be public servants within the meaning of section 21 of the Indian Penal Code (45 of 1860).

Section 157. Protection of action taken under this Act.

(This section provides protection from suit, prosecution or legal proceedings for Appellate Tribunal members, officers, and authorised persons for actions done in good faith.)

Section 158. Disclosure of information by a public servant.

(This section bars disclosure of particulars from statements, returns, accounts or documents produced under the Act, subject to 12 enumerated exceptions under sub-section (3) covering prosecution, implementation purposes, recovery proceedings, audit, disciplinary inquiries, data processing, and public interest publication.)

Section 158A. Consent based sharing of information furnished by taxable person.

Details furnished by registered person (registration, returns, invoice details, outward supply details, e-way bill) may be shared by common portal with notified systems, subject to consent of the registered person. Such sharing deemed to be in the interest of the registered person. Consent may be withdrawn, and information shared before withdrawal shall not be affected.

Section 159. Publication of information in respect of persons in certain cases.

(This section empowers the Commissioner to publish names and particulars of persons in relation to proceedings or prosecution, subject to appeal period expiry.)

Section 160. Assessment proceedings, etc., not to be invalid on certain grounds.

(This section validates proceedings despite mistakes, defects or omissions, provided they are in substance and effect in conformity with the Act.)

Section 161. Rectification of errors apparent on the face of record.

Any authority who has passed or issued any decision or order or notice or certificate or any other document, may rectify any error which is apparent on the face of record, either on its own motion or where such error is brought to its notice within a period of **three months** from the date of issue:

Provided that no such rectification shall be done after a period of **six months** from the date of issue of such decision or order or notice or certificate or any other document:

Provided further that the said period of **six months** shall not apply in such cases where the rectification is purely in the nature of correction of a clerical or arithmetical error, arising from any accidental slip or omission:

Provided also that where such rectification adversely affects any person, the principles of natural justice shall be followed by the authority carrying out such rectification.

Section 162. Bar on jurisdiction of civil courts.

Save as provided in sections 117 and 118, no civil court shall have jurisdiction to deal with or decide any question arising from or relating to anything done or purported to be done under this Act.

Section 163. Levy of fee.

Wherever a copy of any order or document is to be provided to any person on an application made by him for that purpose, there shall be paid such fee as may be prescribed.

Section 164. Power of Government to make rules.

The Government may, on the recommendations of the Council, make rules for carrying out the provisions of this Act, by notification. Such rules may be made with retrospective effect where no person is prejudicially affected.

Section 165. Power to make regulations.

The Board may make regulations consistent with this Act and rules, on matters directed to be prescribed by regulations.

Section 166. Laying of rules, regulations and notifications.

Every rule, regulation and notification issued under this Act shall be laid before each House of Parliament.

Section 167. Delegation of powers.

The Commissioner may delegate his powers (except power to make regulations) to any officer subordinate to him, subject to conditions and limitations.

Section 168. Power to issue instructions or directions.

The Board may issue orders, instructions and directions to officers for uniform implementation of the Act. Commissioner may also issue standing orders. Officers shall observe and follow such orders/instructions/directions.

Section 168A. Power of Government to extend time limit in special circumstances.

Government may, on recommendations of Council, by notification, extend time limits specified in or prescribed under the Act in respect of actions which cannot be completed or complied with due to force majeure. Such extension not to exceed prescribed period.

Section 169. Service of notice in certain circumstances.

(This section prescribes six modes of service — direct/messenger, registered/speed post, e-mail, common portal, newspaper publication, and affixation — with deemed service provisions.)

Section 170. Rounding off of tax, etc.

The amount of tax, interest, penalty, fine or any other sum payable, and the amount of refund or any other sum due, under the provisions of this Act shall be rounded off to the nearest rupee and, for this purpose, where such amount contains a part of a rupee consisting of paise, then, if such part is **fifty paise** or more, it shall be increased to one rupee and if such part is less than **fifty paise** it shall be ignored.

Section 171. Anti-profiteering measure.

(1) Any reduction in rate of tax on any supply of goods or services or the benefit of input tax credit shall be passed on to the recipient by way of commensurate reduction in prices.

(2) The Central Government may, on recommendations of the Council, by notification, constitute an Authority, or empower an existing Authority constituted under any law for the time being in force, to examine whether input tax credits availed by any registered person or the reduction in the tax rate have actually resulted in a commensurate reduction in the price of the goods or services or both supplied by him.

Provided that the Government may by notification, on the recommendations of the Council, specify the date from which the said Authority shall not accept any request for examination as to whether input tax credits availed by any registered person or the reduction in the tax rate have actually resulted in a commensurate reduction in the price of the goods or services or both supplied by him.

(3) The Authority referred to in sub-section (2) shall exercise such powers and discharge such functions as may be prescribed.

(3A) Where the Authority referred to in sub-section (2), after holding examination as required under the said sub-section comes to the conclusion that any registered person has profiteered under sub-section (1), such person shall be liable to pay penalty equivalent to **ten per cent.** of the amount so profiteered:

Provided that no penalty shall be leviable if the profiteered amount is deposited within **thirty days** of the date of passing of the order by the Authority.

Explanation 1.— For the purposes of this section, the expression "profiteered" shall mean the amount determined on account of not passing the benefit of reduction in rate of tax on supply of goods or services or both or the benefit of input tax credit to the recipient by way of commensurate reduction in the price of the goods or services or both.

Explanation 2.— For the purposes of this section, the expression "Authority" shall include the "Appellate Tribunal".

Section 172. Removal of difficulties.

(This section empowers the Government to make provisions for removal of difficulties, with a time limit of five years from commencement, subject to parliamentary laying.)

Section 173. Amendment of Act 32 of 1994.

(Consequential amendments to the Finance Act, 1994.)

Section 174. Repeal and saving.

(Deals with repeal of specified enactments to the extent mentioned in the Schedule and savings of actions taken, notifications issued, orders made, etc. under the repealed enactments. Standard repeal and savings clause.)

SCHEDULE I

[See section 7]

ACTIVITIES TO BE TREATED AS SUPPLY EVEN IF MADE WITHOUT CONSIDERATION

1. Permanent transfer or disposal of business assets where input tax credit has been availed on such assets.

2. Supply of goods or services or both between related persons or between distinct persons as specified in section 25, when made in the course or furtherance of business:

Provided that gifts not exceeding **fifty thousand rupees** in value in a financial year by an employer to an employee shall not be treated as supply of goods or services or both.

3. Supply of goods—

(a) by a principal to his agent where the agent undertakes to supply such goods on behalf of the principal; or

(b) by an agent to his principal where the agent undertakes to receive such goods on behalf of the principal.

4. Import of services by a person from a related person or from any of his other establishments outside India, in the course or furtherance of business.

SCHEDULE II

[See section 7]

ACTIVITIES OR TRANSACTIONS TO BE TREATED AS SUPPLY OF GOODS OR SUPPLY OF SERVICES

1. Transfer

(a) any transfer of the title in goods is a supply of goods;

(b) any transfer of right in goods or of undivided share in goods without the transfer of title thereof, is a supply of services;

(c) any transfer of title in goods under an agreement which stipulates that property in goods shall pass at a future date upon payment of full consideration as agreed, is a supply of goods.

2. Land and Building

(a) any lease, tenancy, easement, licence to occupy land is a supply of services;

(b) any lease or letting out of the building including a commercial, industrial or residential complex for business or commerce, either wholly or partly, is a supply of services.

3. Treatment or process

Any treatment or process which is applied to another person's goods is a supply of services.

4. Transfer of business assets

(a) where goods forming part of the assets of a business are transferred or disposed of by or under the directions of the person carrying on the business so as no longer to form part of those assets, such transfer or disposal is a supply of goods by the person;

(b) where, by or under the direction of a person carrying on a business, goods held or used for the purposes of the business are put to any private use or are used, or made available to any person for use, for any purpose other than a purpose of the business, the usage or making available of such goods is a supply of services;

(c) where any person ceases to be a taxable person, any goods forming part of the assets of any business carried on by him shall be deemed to be supplied by him in the course or furtherance of his business immediately before he ceases to be a taxable person, unless—

(i) the business is transferred as a going concern to another person; or

(ii) the business is carried on by a personal representative who is deemed to be a taxable person.

5. Supply of services

The following shall be treated as supply of services, namely:—

(a) renting of immovable property;

(b) construction of a complex, building, civil structure or a part thereof, including a complex or building intended for sale to a buyer, wholly or partly, except where the entire consideration has been received after issuance of completion certificate, where required, by the competent authority or after its first occupation, whichever is earlier.

Explanation.— For the purposes of this clause—

(1) the expression "competent authority" means the Government or any authority authorised to issue completion certificate under any law for the time being in force and in case of non-requirement of such certificate from such authority, from any of the following, namely:—

(i) an architect registered with the Council of Architecture constituted under the Architects Act, 1972 (20 of 1972); or

(ii) a chartered engineer registered with the Institution of Engineers (India); or

(iii) a licensed surveyor of the respective local body of the city or town or village or development or planning authority;

(2) the expression "construction" includes additions, alterations, replacements or remodelling of any existing civil structure;

(c) temporary transfer or permitting the use or enjoyment of any intellectual property right;

(d) development, design, programming, customisation, adaptation, upgradation, enhancement, implementation of information technology software;

(e) agreeing to the obligation to refrain from an act, or to tolerate an act or a situation, or to do an act; and

(f) transfer of the right to use any goods for any purpose (whether or not for a specified period) for cash, deferred payment or other valuable consideration.

6. Composite supply

The following composite supplies shall be treated as a supply of services, namely:—

(a) works contract as defined in clause (119) of section 2; and

(b) supply, by way of or as part of any service or in any other manner whatsoever, of goods, being food or any other article for human consumption or any drink (other than alcoholic liquor for human consumption), where such supply or service is for cash, deferred payment or other valuable consideration.

7. ***[Omitted by Act 13 of 2021, s. 122 (w.e.f. 1st January, 2022).]***

SCHEDULE III

[See section 7]

ACTIVITIES OR TRANSACTIONS WHICH SHALL BE TREATED NEITHER AS A SUPPLY OF GOODS NOR A SUPPLY OF SERVICES

1. Services by an employee to the employer in the course of or in relation to his employment.

2. Services by any court or Tribunal established under any law for the time being in force.

3. (a) the functions performed by the Members of Parliament, Members of State Legislature, Members of Panchayats, Members of Municipalities and Members of other local authorities;

(b) the duties performed by any person who holds any post in pursuance of the provisions of the Constitution in that capacity; or

(c) the duties performed by any person as a Chairperson or a Member or a Director in a body established by the Central Government or a State Government or local authority and who is not deemed as an employee before the commencement of this clause.

4. Services of funeral, burial, crematorium or mortuary including transportation of the deceased.

5. Sale of land and, subject to clause (b) of paragraph 5 of Schedule II, sale of building.

6. Actionable claims, other than specified actionable claims.

7. Supply of goods from a place in the non-taxable territory to another place in the non-taxable territory without such goods entering into India.

8. (a) Supply of warehoused goods to any person before clearance for home consumption;

(aa) Supply of goods warehoused in a Special Economic Zone or in a Free Trade Warehousing Zone to any person before clearance for exports or to the Domestic Tariff Area;

(b) Supply of goods by the consignee to any other person, by endorsement of documents of title to the goods, after the goods have been dispatched from the port of origin located outside India but before clearance for home consumption.

9. Activity of apportionment of co-insurance premium by the lead insurer to the co-insurer for the insurance services jointly supplied by the lead insurer and the co-insurer to the insured in co-insurance agreements, subject to the condition that the lead insurer pays the central tax, the State tax, the Union territory tax and the integrated tax on the entire amount of premium paid by the insured.

10. Services by insurer to the reinsurer for which ceding commission or the reinsurance commission is deducted from reinsurance premium paid by the insurer to the reinsurer, subject to the condition that the central tax, the State tax, the Union territory tax and the integrated tax is paid by the reinsurer on the gross reinsurance premium payable by the insurer to the reinsurer, inclusive of the said ceding commission or the reinsurance commission.

Explanation 1.— For the purposes of paragraph 2, the term "court" includes District Court, High Court and Supreme Court.

Explanation 2.— For the purposes of clause (a) of paragraph 8, the expression "warehoused goods" shall have the same meaning as assigned to it in the Customs Act, 1962 (52 of 1962).

Explanation 3.— For the purposes of clause (aa) of paragraph 8, the expressions "Special Economic Zone", "Free Trade Warehousing Zone" and "Domestic Tariff Area" shall have the same meanings respectively as assigned to them in section 2 of the Special Economic Zones Act, 2005 (28 of 2005).